

FOCUS

GRUPO BIMBO



ON EXECUTION

COMPANY PROFILE

Grupo Bimbo is the leading baked goods company in the world. It generated **$82.3 billion pesos in net sales in 2008.**

We make over **5,000 products** under more than **150 well-known brands** names in categories such as bread, buns, cookies, cakes, pastries, sweet bread, muffins, bagels, packaged foods, tortillas, salted snacks and confectionary goods. Through continuous innovation, we are satisfying consumer tastes and enhancing the nutritional value of our product portfolio.

Our Group is comprised of more than **108,000 associates** in **18 countries.** We have one of the most extensive distribution networks in the world, with more than **41,000 routes** and more than 1.8 million points of sale. Grupo Bimbo's shares are traded on the Mexican Stock Exchange under the ticker symbol BIMBO.

The Group signed an agreement in December 2008 to acquire the baking business of Weston Foods, Inc. (WFI) in the United States. When completed in 2009, Grupo Bimbo will be one of the most profitable baked goods companies.

CONTENTS

Financial Highlights	3
Letter from the Chairman	4
Letter from the CEO	6
Vision 2010	8
A company with trustworthy, leading brands	9
Our customers' preferred supplier	10
A strong and sound Company	11
A forward looking Company	12
An extraordinary place to work	13
Management Committee	14
Board of Directors	15
Governance Committees	15
Board Members	16
Advisory Board	18
Corporate Governance	19
Summary of Operations	20
MD&A	21
Consolidated Statements	29



● Plants operated by Grupo Bimbo Internationally
● Plants that will be incorporated with the acquisition of Weston Foods, Inc.

GRUPO BIMBO TODAY

AMERICA



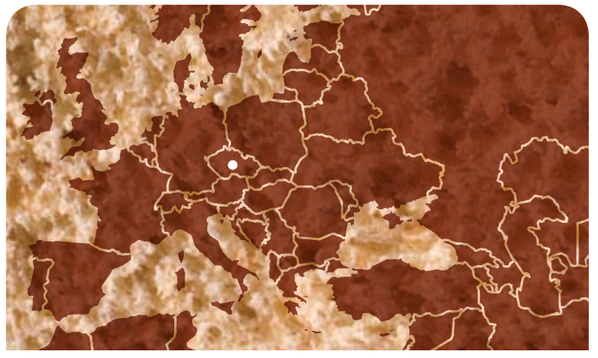
LATIN AMERICA

*COMPANY FACTS

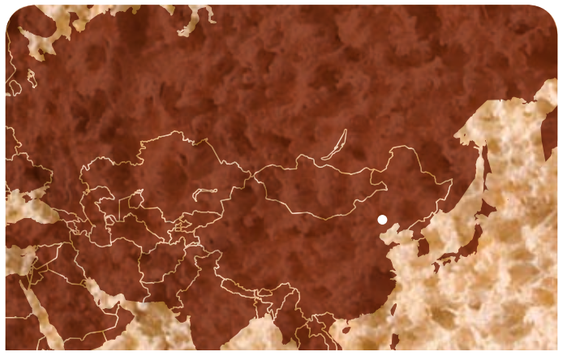
Countries	18
Plants	+ 105
Distribution routes	more than 41,000
Points of sale	+ 1,800,000
Brands	+ 150
SKUs	+ 5,000
Associates	+ 100,000

#9
Grupo Bimbo's ranking on the Reputation Institute's "Most Respected Companies in the World" in its Global Pulse 2008 Study

EUROPE



ASIA



BIMBO S.A. DE C.V.
Headquartered in Mexico City.

Principal brands are Bimbo, Del Hogar, Gabi, Lara, Lonchibon, Marinela, Milpa Real, Oroweat, Suandy, Tía Rosa and Wonder.

ORGANIZACION LATINOAMERICA
Headquartered in Buenos Aires, Argentina.

Includes the countries of Argentina, Brazil, Chile, Colombia, Paraguay, Peru, Uruguay and Venezuela.

Principal brands are Agua de Piedra, Ana Maria, Bimbo, Cena, Firenze, Fuchs, Holsum, Ideal, Lalo, Laura, Maestro Cubano, Mama Ines, Marinela, Moran, Nutrella, Pan Todos, Plucky, Plus Vita, Pullman, Pyc, Ricard, Rollys and Los Sorchantes.

ORGANIZACION BARCEL S.A. DE C.V.
Headquartered in Lerma, Mexico.

Principal brands are Barcel, Coronado, Juicee Gummee, La Corona, Park Lane and Ricolino.

ORGANIZACION CENTROAMERICA
Operating from San José, Costa Rica.

Includes the countries of Costa Rica, El Salvador, Guatemala, Honduras, Nicaragua and Panama.

Principal brands are Bimbo, Breddy, Europa, Ideal, Lido, La Mejor, Marinela, Milpa Real, Monarca, Pix and Ricolino.

14%
Increase in net sales in 2008 vs. 2007

BIMBO BAKERIES USA, INC.
Headquartered in Horsham, PA. United States

Principal brands are Arnold, Bimbo, Boboli, Brownberry, Entenmann´s, Francisco, Freihofer´s, Marinela, Mrs. Baird´s, Oroweat, Stroehmann, Thomas' and Tía Rosa.

ORGANIZACION ASIA
Operating from Beijing, China under the Bimbo brand.

Main products are packaged bread in such varieties as white, whole wheat, milk and corn, as well as pastries.

*Note: Information as of April 2009.

ADVANCED GASTRONOMY AND PASTRIES
Headquartered in Mexico City with a presence in 18 states in the Republic.

Its principal brands are El Globo pastries with 125 years of history, La Balance and El Molino with 80 years.

It produces fine traditional Mexican cakes and pastries.

1,800,000
Points of sale in 2009



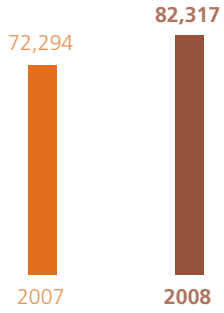


IN 2005, WE LAID OUT A VISION OF BECOMING THE WORLD LEADER IN THE BAKING INDUSTRY AND ONE OF THE BEST COMPANIES IN THE FOOD INDUSTRY BY 2010. THE PROCESS CONTINUES, AND OUR FOCUS REMAINS ON EXECUTING THAT VISION.

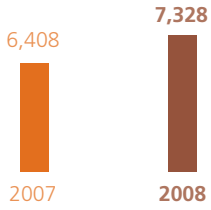
+14% EBITDA in 2008 when compared to 2007

GRUPO BIMBO ACHIEVED RECORD TOP LINE, EBITDA AND NET MAJORITY INCOME IN 2008.

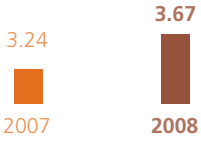
NET SALES
(millions of pesos)



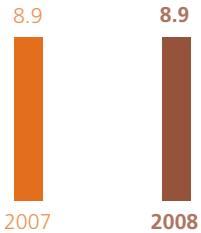
OPERATING INCOME
(millions of pesos)



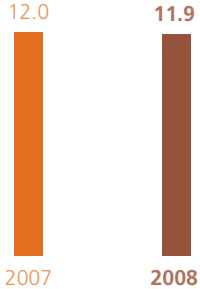
EARNINGS PER SHARE
(pesos)



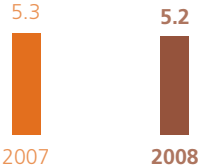
OPERATING MARGIN
(% of net sales)



EBITDA MARGIN
(% of net sales)



NET MARGIN
(% of net sales)

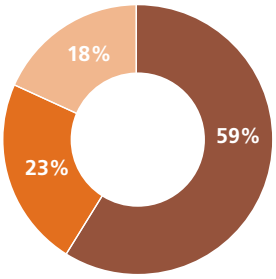


	2008	2007	% change
Net sales[1]	**82,317**	72,294	13.9
Mexico	**54,845**	49,713	10.3
United States	**18,049**	16,565	9.0
Latin America	**11,346**	7,600	49.3
Operating income[1]	**7,328**	6,408	14.4
Mexico	**6,854**	5,892	16.3
United States	**124**	206	(39.8)
Latin America	**431**	267	61.4
Net Income	**4,444**	3,914	13.5
Net majority income	**4,320**	3,811	13.4
Total assets	**58,506**	45,243	29.3
Total liabilities	**23,532**	16,746	40.5
Stockholders' equity	**34,974**	28,497	22.7
Book value per share[2]	**29.14**	23.74	22.7
Earnings per share[2]	**3.67**	3.24	13.4
Net debt / EBITDA	**0.39**	0.25	
Net debt / Stockholders' equity	**0.11**	0.07	
ROA	**7.4%**	8.4%	
ROE	**12.4%**	13.4%	

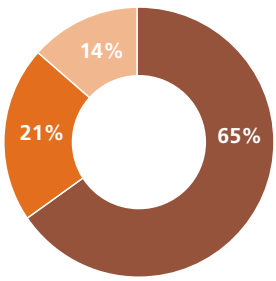
Figures corresponding to 2007 are expressed in millions of constant pesos as of December 31, 2007, while those corresponding to 2008 are expressed in millions of pesos in nominal terms.
[1] Consolidated results exclude inter-company transactions.
[2] Data in Mexican Pesos based on outstanding shares of 1,175,800,000 for 2007 and 2008.

FINANCIAL HIGHLIGHTS

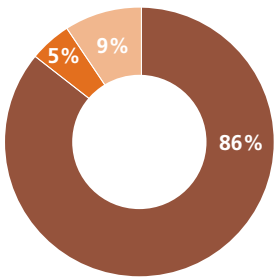
TOTAL ASSETS



NET SALES



EBITDA



- Mexico
- United States
- Latin America

LETTER FROM THE CHAIRMAN OF THE BOARD OF DIRECTORS

I am pleased to be able to report that the results of the Group were very satisfactory in 2008.

In spite of the pressures that began to be felt in the fourth quarter, consolidated sales of $82,317 M represented an increase of 13.9% over 2007.

Excluding acquisitions, this increase came to 11.9%. Net profits rose 13.5% and net majority income rose 13.4% over the prior year.

In general, our organizations achieved their goals or came very close to them. Highlights include the results of the Organización Barcel, both in its export division and in the rest of its operations, as well as the Organización Latinoamérica where growth and results were very good.

The operations of BBU in the United States deteriorated seriously in the second quarter, but improved noticeably during the rest of the year. We have great confidence that the recent acquisition of Weston Foods, Inc. will enable us to strengthen our operations significantly and improve our results in this region substantially.

In the fiscal period that is being reported, we acquired a number of companies in our area of business and some small companies such as Lido in Honduras, Plucky in Uruguay, Galletas Gabi in Mexico, Firenze and Laura in Brazil.

The purchase of Nutrella Alimentos was also completed in Brazil at midyear. Because of its size and location, this company will enable us to consolidate our presence in this important market. An agreement was signed in December for the purchase of Weston Foods, Inc. in the United States.

These investments totaled $2.6 billion U.S. dollars, with estimated average EBITDA margin of 11.6%. We expended much time and effort during the fourth quarter, both on the Board of Directors that I chair, as well in the various administrative areas, studying the possible acquisition of Weston Foods, Inc. that I just referred to.

Knowing that this is the largest transaction ever undertaken by the Group, and given its enormous importance, innumerable analytical and consulting exercises were performed locally and above all in the United States itself.

I want to acknowledge in particular the work that was done in this respect by, among others, the Committee on Finance and Planning, the Finance Department, the Legal Department, the Board of Directors and our CEO, Lic. Daniel Servitje.

We believe that this mega-transaction will bring the Group to a level of sales exceeding $9.0 billion dollars and, as we have already said, contribute fundamentally and decisively to the consolidation and improvement of our operating results in the United States.

We are aware that 2009 is going to be a difficult year. For this reason, we are determined to address the year with prudence and austerity but, at the same time, with enthusiasm and creativity, because challenges always represent opportunities.

I cannot fail to recognize publicly the outstanding work of our Finance Department, not only for its professional and prudent performance that allowed us to enjoy good results in spite of the financial crisis around the world, but also for our people who carried the responsibility for the negotiations and the financing of the transaction in the United States.

In other matters, I can report to you that the Fund for the Repurchase of Shares of the Group did not enter into any transactions during 2008.

Similarly, I can report to you that the Board of Directors approved the performance of management for the fiscal year just ended, as well as the report of the Board of Directors. The approval of the Board is based



IN SPITE OF THE PRESSURES THAT BEGAN TO BE FELT IN THE FOURTH QUARTER, CONSOLIDATED SALES OF $82,317 M REPRESENTED AN INCREASE OF 13.9% OVER 2007.

on the opinion of our auditors and the Board believes that the financial statements of the Group were prepared in accordance with Mexican Financial Reporting Standards, the accounting policies and criteria were applied in a manner that is consistent and appropriate for the circumstances of the Group, and the financial information reasonably reflects the financial position and results of the Company.

As in the past and along with this report, we present to the Shareholders' Meeting the reports of the Audit Committee, the Corporate Practices Committee and the Chief Executive Officer, as well as a report on compliance with the company's tax obligations.

As in previous years, I would also like to express my appreciation for the efforts of management, all our associates and unions, and for the support of our shareholders and, particularly, to the members of the Board of Directors for their extra work and strong commitment as demonstrated by our new acquisitions.



Roberto Servitje
President of the Board
April 15, 2009.

LETTER FROM THE CHIEF EXECUTIVE OFFICER

I am pleased to report a year of healthy results that reflect solid volumes and an improved sales mix, with positive trends across our Divisions – strong 49.3% revenue growth in Latin America, and 10.3% and 9.0% increases in Mexico and the United States, respectively. Of particular note was the stability of our margins: despite a difficult environment in 2008 from both a cost and economic perspective, we successfully achieved across-the-board productivity gains to generate those results.

We also continue to grow via acquisitions, which enables us to expand our product portfolio with new brands and categories, and to enter new markets and regions that offer significant growth opportunities. In 2008 we made six acquisitions, adding assets in Brazil, Uruguay, Honduras and Mexico. Net sales generated by these companies added 2.0 percentage points of the 13.9% growth registered in the year.

Our largest acquisition to date, and a transformative deal for Grupo Bimbo as a whole, was the landmark agreement signed in December 2008 to acquire the United States fresh bakery business of Weston Foods, Inc. (WFI), a baked goods leader in the United States with a premium brand portfolio in the bread, rolls, muffins, bagels and sweet baked goods categories.

This acquisition presents us with significant growth opportunities in the United States. It will expand our sales and distribution platform, client base and product portfolio through a truly national footprint, as well as enhance our commercial strength and profitability. It will allow us to compete more effectively, operate more efficiently and continue to profitably grow our business in a consolidating and highly competitive market that demands efficient operations and national distribution and marketing.

Upon consolidation of the deal in 2009, Grupo Bimbo became one of the largest baked goods companies in the United States. Size alone, however, is not our main objective. Rather, our vision is to become one of the best companies in the food industry. WFI's high quality assets and highly capable management team have delivered consistently strong performance, and we will bring together our people, ideas, brands and markets to forge a strong and profitable company that can leverage best practices across every market.

To do so, we remain strongly focused on execution. That means being truly connected to our consumers around the world; developing, producing and delivering the products that meet their current needs and preferences for every type of consumption occasion; constant innovation and a commitment to quality, even as we enhance operational efficiency and broaden our reach; and reducing our level of debt through continued financial discipline.

The commitment to social responsibility, which has been integral to Grupo Bimbo since its founding, will remain a vital aspect of our



HOWEVER, I BELIEVE THAT GRUPO BIMBO IS BETTER POSITIONED THAN EVER TO ADDRESS THESE CHALLENGES. AS YOU WILL READ IN THIS REPORT, WE HAVE THE PEOPLE, BRANDS AND ASSETS TO ACHIEVE OUR GOALS, WHILE MAINTAINING A DEEP COMMITMENT TO OUR VISION.

efforts. In 2008, for example, we introduced 100% biodegradable packaging, the first Latin American company to do so; we joined with ten multinational food groups in a global commitment to help implement the World Health Organization's Global Strategy on Diet, Physical Activity and Health; and through our non-profit organization, Reforestamos Mexico, we hosted more than 60 events in which 6,000 Grupo Bimbo associates and their families planted more than 50,000 trees in a one-day volunteer effort coordinated by the Mexican Federal Government.

The confluence of industry fundamentals and economic conditions make this an ideal time for new leadership in our industry. With a track record of over 60 years of growth, we have the experience and know-how. That said, as we look ahead to 2009, we expect that the economic environment will continue to prove very challenging and that the conditions we will face over the next several months will likely be even more difficult than those we faced in 2008. However, I believe that Grupo Bimbo is better positioned than ever to address these challenges. As you will read in this report, we have the people, brands and assets to achieve our goals, while maintaining a deep commitment to our vision.

In closing, I want to thank our customers and consumers for your continued preference and loyalty, and to our investors for your confidence in our vision. To all our associates, it is your dedication and commitment that have made the successes of 2008 possible. I wish to extend a special welcome to our newest colleagues, and I look forward to working hard with all of you in the year ahead.



Daniel Servitje
Chief Executive Officer
April 15, 2009.



VISION 2010: TO BE THE WORLD LEADER IN THE BAKING INDUSTRY AND ONE OF THE BEST COMPANIES IN THE FOOD INDUSTRY

Our acquisitions in 2008 advanced our leadership goal significantly:

Brazil:	Firenze, Laura, Nutrella
Honduras:	Galletas Lido Pozuelo
Mexico:	Galletas Gabi
Uruguay:	Plucky

Our **vision of excellence** will be achieved through commitment, dedication to serving our consumers and customers better than anyone else, openly sharing and learning from our experiences and failures, and holding our Company to the highest standards and key performance indicators in the industry.

In addition, on January 21, 2009, we completed the acquisition of Weston Foods, Inc. in the United States. This important acquisition will allow Grupo Bimbo's United States operations to expand into new markets, accelerate the penetration of Bimbo's Hispanic brands, and leverage the **growth potential** of our key product categories in under-penetrated markets. The transaction reinforces our global growth strategy by creating a **sustainable platform** for top- and bottom-line growth and enhancing our financial profile.

How will be we get there? By executing the five pillars of our vision:

- A Company with trustworthy, leading brands for our Consumers.
- Our Customers´ preferred supplier.
- A strong and sound Company for our Stakeholders.
- A forward looking Company.
- An extraordinary place to work.

GRUPO BIMBO IS AN INTERNATIONAL COMPANY.

36%

Sales generated outside of Mexico in 2008, including all acquisitions.



Oscar Coronel, measuring the exact temperature in the production of Barritas Marinela.

A COMPANY WITH TRUSTWORTHY, LEADING BRANDS

Our relationship with consumers is based on satisfaction and value. That means providing them with **tasty, innovative, healthy** and reasonably priced products, which are suitable for consumption anytime, anywhere, and widely available. As a result, our products foster an emotional link to our brands, and we enjoy the number 1 or 2 market position in nearly every region or category in which we compete.

The **strength of our brands** can be seen in cross-market successes.

For example the Plus Vita brand has a presence in the Brazilian market in sliced bread and in Mexico in packaged bread products.

Similarly, we have leveraged successful brands in one category into different product areas. For example the Negrito barra and Negrito leche brands are product extensions of Bimbo's Negrito sweet rolls.

"IN GRUPO BIMBO WE HAVE A COMPANY WITH GREAT BRANDS AND THE BEST TEAM TO CARE FOR THEM AND INCREASE THEIR VALUE."

DANIEL SERVITJE

CEO





EVERYDAY

Grupo Bimbo delivers products to every Walmart de Mexico store, one of the country's leading retailers.

An extensive variety of products to satisfy consumer trends.

OUR CUSTOMERS' PREFERRED SUPPLIER

We offer our customers a differentiated product portfolio with attractive margins, high profitability and integrated solutions for their businesses. Because their success is our success, we take a hands-on approach to **point-of-sale development.**

Our channel segmentation strategies address the specific needs of every type of customer, including:

- Retail
- Self-serve
- Convenience store
- Wholesale
- Vending machines
- Institutional
- Schools

IN 2008 WALMART DE MEXICO AWARDED GRUPO BIMBO AS "TOP SUPPLIER OF THE YEAR" IN THE GROCERY AND FOOD PRODUCTS CATEGORY.

"Bimbo products sell very well in my store and are very much in demand from consumers. The salesman treat me very well and product delivery is very good."
Marco Becerril
Grocery store "Los Peques", Mexico City.

"Every day, all day their salesman serve clients with quality and warmth. The product is also 100% Mexican."
Jorge Luis Diaz
A Walmart partner since 2005,
Walmart Lomas, Mexico City.



8 YEARS

The number of years the Mexican Center for Philanthropy has recognized Grupo Bimbo as a Socially Responsible Company.

Through an extensive distribution network, we operate more than 41,000 routes.

A STRONG AND SOUND COMPANY
FOR OUR STAKEHOLDERS

To create true and **sustainable value,** all stakeholders must benefit.

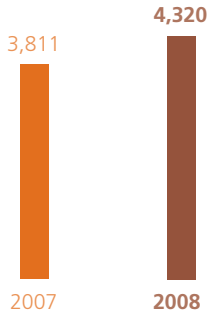
We generate consistently sound results for our investors, and have achieved sustained profitability since our founding in 1945. In 2008, despite high raw materials prices and economic volatility, we grew the top line, maintained our operating performance and issued Ps. 541 M in dividends.

Our suppliers are our partners, and we are committed to honest and fair negotiations based on mutual respect. We place the highest value on fair competition in the procurement process, while promoting process improvement and innovation.

The long-term health of the company, our people and our consumers requires a **commitment to the environment.** Our initiatives span **biodegradable packaging** to reforestation efforts.

Similarly, **the communities in which we have operations** are of vital importance to us. In order to learn more about our organizations, we invite you to read our 2008 Report on Corporate Responsibility that is included at the end of this report.

NET MAJORITY INCOME
(millions of pesos)





Development of new products, Innovation Center in Lerma, Mexico.

MORE THAN 2,000

products reformulated and improved through the reduction of such ingredients as sugar, salt and fats.

A FORWARD LOOKING COMPANY

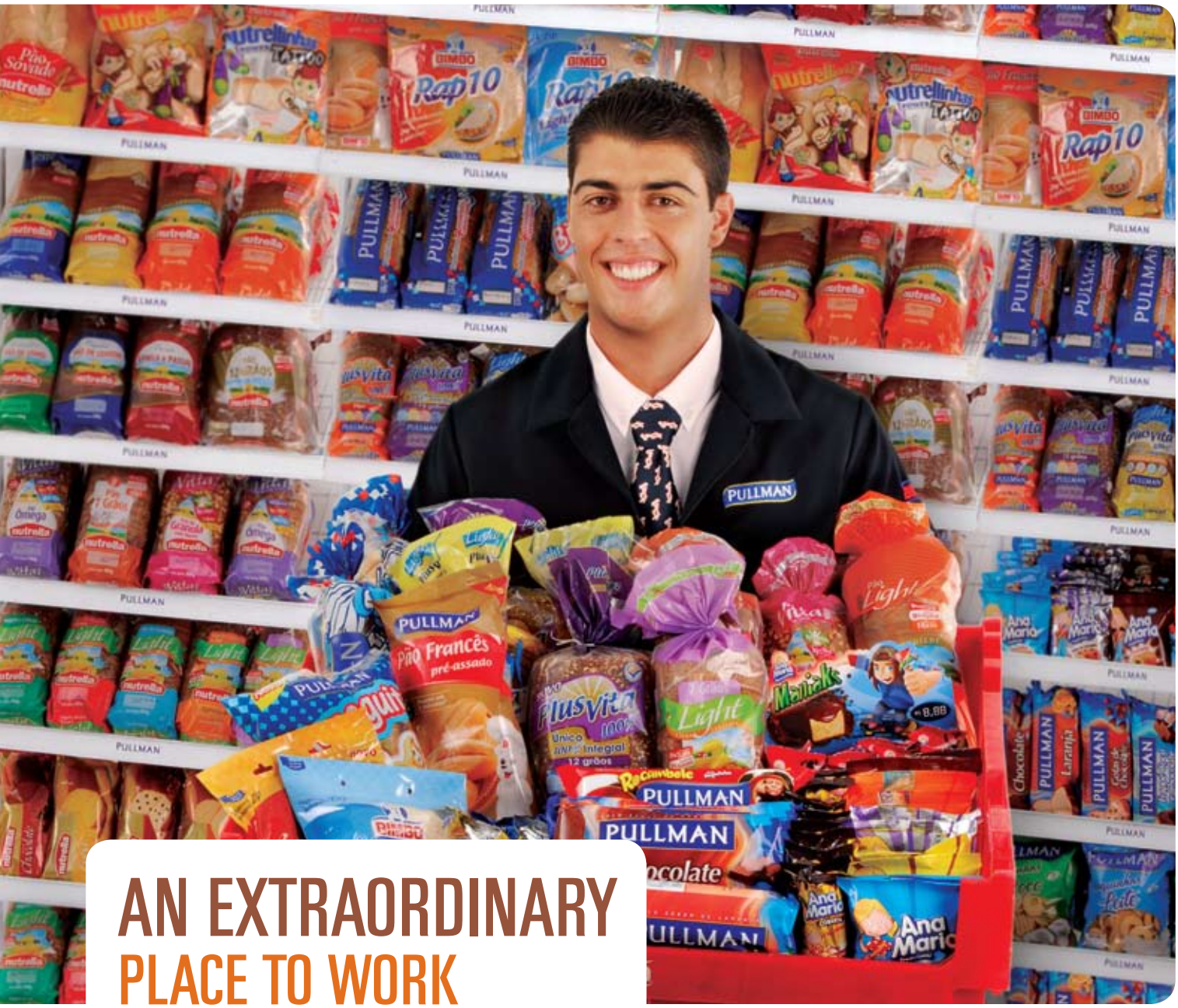
How do we turn technology, information and risk management into competitive advantages? Through **strong capabilities in food research and development;** speed in developing, launching and positioning new products; and flexible, low-cost production.

In the process of **improving nutritional profiles of all our portfolios,** having already eliminated transfats from our products, the next step is reducing saturated fats, optimizing sugar, salt and fat content and developing the next generation of whole grain products. We continue to help consumers to control their portions, with more than 50 products now available in 100 calorie size packs.

Our four innovation centers in the United States, Mexico and Brazil work with local and global research institutions on **multidisciplinary projects** that aim to transform scientific discoveries into practical applications. Of the associates on our technical staff, more than 15% have PhDs or master degrees in advanced sciences, and 20% are professionally-trained chefs or master bakers.

As part of our ongoing efforts to enhance the efficiency of our operations, we began implementing the **Kaizen methodology.** When applied to the workplace, Kaizen aims to continually improve all functions of a business. At Grupo Bimbo, our goals in applying Kaizen include: lead time reduction, inventory reduction, quality improvement, increased flexibility, reduced use of capital and **increased productivity.**

We were the first Company in Mexico to mandate biodegradable packaging. By year-end 2009, every product we sell will be packaged in oxo-biodegradable material.



Alan Eduardo Fernandes, an associate in Bimbo Brazil since 2006.

AN EXTRAORDINARY PLACE TO WORK

We are a **results-driven organization** focused on achieving shared goals and learning from them. Our leaders are measured by their ability to drive change and inspire associates and, together, **we are a passionate and proud team.**

At the heart of the organization is the person, and respect for diversity is paramount. Recent initiatives include establishing a task force for hiring more associates with disabilities, as well as the cultivation and promotion of female executives. We made important progress in 2008 in increasing **associate satisfaction.** This was supported by over 650,000 man hours of workforce education and development.

"For me, Bimbo is an extraordinary place to work because it has enabled me to develop not only at the professional level, but also at the personal level. I have become more compassionate thanks to the adoption of the Bimbo philosophy. This has led me to look at things in a different manner."

"The environment here is warm and you feel like you are at home. I have not experienced this at any other company I have worked in. I would not exchange the security I have found here for anything. I feel very happy in the company and I know that I have a great future here."

Magnory Torres Vela
Personnel Supervisor,
Lima, Perú.



MANAGEMENT COMMITTEE

Daniel Servitje
Chief Executive Officer, Grupo Bimbo.
Joined Grupo Bimbo in 1978; obtained a bachelor's degree in Business Administration from Universidad Iberoamericana and an MBA from Stanford University. Member of the Board of Directors of Coca-Cola FEMSA, Grupo Financiero Banamex and Grocery Manufacturers of America.
50 years old.

Pablo Elizondo
Senior Executive Vice-President, Grupo Bimbo.
Joined Grupo Bimbo in 1977; studied Chemical Engineering.
55 years old.

Javier Augusto González
President, Bimbo S.A. de C.V.
Joined Grupo Bimbo in 1977; holds a degree in Chemical Engineering and an MBA from Universidad Diego Portales in Chile.
53 years old.

Reynaldo Reyna
President, Bimbo Bakeries USA, Inc.
Joined Grupo Bimbo in 2001; studied Industrial and Systems Engineering and obtained a masters' degree in Operations Analysis and Finance from the Wharton School.
53 years old.

Gabino Gómez
President, Organización Barcel, S.A. de C.V.
Joined Grupo Bimbo in 1981; obtained a bachelor's degree in Marketing and a masters' degree in Business Administration from the University of Miami. Member of the Executive Board of ConMéxico and member of the Food Group.
49 years old.

Alberto Díaz
President, Organización Latinoamérica.
Joined Grupo Bimbo in 1999. Studied Industrial Engineering and obtained a master's degree in Management from the University of Miami.
53 years old.

Guillermo Quiroz
Chief Financial Officer, Grupo Bimbo.
Joined Grupo Bimbo in 1999. Obtained a degree in Actuarial Studies and an MBA from IPADE. Member of the Board of Directors of Grupo Altex and Fincomún.
55 years old.

Javier Millán
Chief Human Relations Officer, Grupo Bimbo.
Joined Grupo Bimbo in 1977. Studied Philosophy and Business Administration. Board Member of the Asociación Mexicana en Dirección de Recursos Humanos. Chairman of Reforestamos México, A.C.
60 years old.

BOARD OF DIRECTORS

	BOARD MEMBERS	ALTERNATIVE MEMBERS
PR	Roberto Servitje	Jaime Chico
I	Henry Davis	Paul Davis
I	José Antonio Fernández	Federico Reyes
I	Arturo Fernández	Alejandro Hernández
I	Ricardo Guajardo	Anthony McCarthy
I	Agustín Irurita	José Manuel Irurita
PR	Luis Jorba	Jaime Jorba
PR	Mauricio Jorba	Ramón Pedroza
PR	Francisco Laresgoiti	María del Pilar Mariscal
R	Nicolás Mariscal	Guillermo Lerdo de Tejada
PR	José Ignacio Mariscal	Raúl Obregón
PI	María Isabel Mata	Javier de Pedro
PR	Víctor Milke	Víctor Milke
PR	Raúl Obregón	Francisco Laresgoiti
PR	Roberto Quiroz	Rosa María Mata
I	Alexis E. Rovzar	Vicente Corta
PR	Lorenzo Sendra	Jorge Sendra
PR	Daniel Servitje	Pablo Elizondo

Chairman
Roberto Servitje

Alternate Chairman
Daniel Servitje

Secretary
Luis Miguel Briola

Alternate Secretary
Pedro Pablo Barragán

PR Patrimonial Related
PI Patrimonial Independent
I Independent
R Related

GOVERNANCE COMMITTEES

AUDIT COMMITTEE

Chairman
Henry Davis

Arturo Fernández
Agustín Irurita
Alexis E. Rovzar

CORPORATE PRACTICES COMMITTEE
Chairman
Ricardo Guajardo

Henry Davis
José Antonio Fernández

EVALUATION AND RESULTS COMMITTEE
Chairman
Raúl Obregón

Javier de Pedro
José Antonio Fernández
Roberto Quiroz
Daniel Servitje
Roberto Servitje

FINANCE AND PLANNING COMMITTEE
Chairman
José Ignacio Mariscal

Ricardo Guajardo
Mauricio Jorba
Víctor Milke
Raúl Obregón
Lorenzo Sendra
Daniel Servitje
Guillermo Quiroz

BOARD MEMBERS

Roberto Servitje
Chairman, Grupo Bimbo
Board Member of:
Fomento Económico Mexicano, S.A.B. de C.V.
Chrysler de México, S.A. de C.V.
Grupo Altex, S.A. de C.V.
Escuela Bancaria y Comercial
Memorial Hermann International Advisory Board (Houston, Texas)
Grupo Aeroportuario del Sureste, S.A.B. de C.V.

Lorenzo Sendra
Chairman of the Board of Directors, Proarce, S.A. de C.V.
Board Member of:
Fundación Ronald McDonald
Fomento de Nutrición y Salud
Fundación Mexicana para el Desarrollo Rural, A.C.
Financiera Promotora para el Desarrollo Rural (FIMEDER)

J. Roberto Quiroz
Chairman of the Board and Chief Executive Officer, Grupo Industrial Trébol
Board Member of:
Grupo Valacci, S.A. de C.V.
Grupo Altex, S.A. de C.V.
Grupo Invermat, S.A. de C.V.
Fundación J.T.M., A.C.
Consulting Director, Grupo Financiero Banamex, S.A. de C.V.

Victor Milke
Chief Executive Officer, Corporación Premium S.C.
Board Member of:
Nacional Financiera de la Ciudad de México
Congelación y Almacenaje S.A.
Frialsa, S.A. de C.V.

Raúl Obregón
Managing Partner, Alianzas, Estrategia y Gobierno Corporativo, S.C.
Managing Partner, Proxy Gobernanza Corporativa, S.C.
Board Member of:
Industrias Peñoles, S.A.B. de C.V.
Grupo Palacio de Hierro, S.A.B. de C.V.
Envases y Laminados, S.A. de C.V.
Invermat, S.A. de C.V.
Altamira Unión de Crédito, S.A. de C.V.
Comercializadora Círculo CCK, S.A. de C.V.
Independent Member of Sub-Committee on evaluation and financing of Fondo Nacional de Infraestructura
Member of the Government Board of Instituto Autónomo de México

Arturo Manuel Fernández
Dean of Instituto Tecnológico Autónomo de México (ITAM)
Board Member of:
Industrias Peñoles, S.A.B. de C.V.
Grupo Nacional Provincial, S.A.B. de C.V.
Grupo Palacio de Hierro, S.A.B. de C.V.
Valores Mexicanos, Casa de Bolsa, S.A.B. de C.V.
Crédito Afianzador, S.A.
Grupo Financiero BBVA Bancomer
Fomento Económico Mexicano, S.A.B. de C.V.
Fresnillo, PLC

Henry Davis
President of Promotora DAC, S.A.
Board Member of:
Grupo Financiero IXE, S.A. de C.V.
Grupo Aeroportuario del Pacífico, S.A. de C.V.
Kansas City Southern
Telefónica Móviles México, S.A. de C.V.

Luis Jorba
Chief Executive Officer of Frialsa Frigoríficos
Chairman, Efform, S.A. de C.V.
Board Member of:
Texas México Frozen Food Council
International Association of Refrigerated Warehouses
World Food Logistics Organization

Mauricio Jorba
Chief Executive Officer, European Operations
Board Member of VIDAX

Alexis E. Rovzar
Managing Partner, Latin American Practice, White & Case, LLP
Board Member of:
Coca-Cola FEMSA, S.A.B. de C.V.
Fomento Económico Mexicano, S.A.B. de C.V.
Grupo ACIR
Grupo COMEX
The Bank of Nova Scotia
Endeavor México, A.C.
Appleseed México, A.C.
Provivah, A.C.
Philharmonic Orchestra of the Americas
Council of the Americas
Procura, A.C.
Qualitas of Life Foundation, and other non-profit organizations.

José Ignacio Mariscal
President, Grupo MARHNOS
Chairman, Uniapac Internacional
President, Comité Por Una Sola Economía del CCE
(Consejo Coordinador Empresarial)
Vice Chairman, Fincomún Servicios Financieros Comunitarios
Vice Chairman, Fundación Juan Diego
Board Member of:
Sociedad de Inversión de Capital de Posadas de México
Grupo Calidra
Former President and Board Member of Instituto Mexicano de Doctrina Social Cristiana
Aserta, Compañía de Fianzas
Comisión Ejecutiva de la Confederación USEM
Vocal de la Comisión Ejecutiva y Consejo Directivo de Coparmex
Member of the Presidential Office of Coparmex

María Isabel Mata
General Director of Fundación José T. Mata
Member of the Board of Tepeyac, A.C.

Francisco Laresgoiti
Chief Executive Officer, Grupo Laresgoiti
Board Member of:
Fundación Mexicana para el Desarrollo Rural, A.C.
Grupo Financiero Aserta, S.A.

Agustín Irurita
Board Member, Grupo ADO
National Advisor and Member of the Confederación Patronal de la República Mexicana (COPARMEX)
Board Member of:
Cámara Nacional de Autotransporte de Pasaje y Turismo
(Consejero Vitalicio)
Grupo Comercial Chedraui, S.A. de C.V.
Fincomún Servicios Financieros Comunitarios, S.A. de C.V.
Afianzadora Aserta, S.A. de C.V.

José Antonio Fernández
Chairman and Chief Executive Officer, Grupo Fomento Económico Mexicano, S.A.B. de C.V.
Chairman, Coca-Cola FEMSA, S.A.B. de C.V.
Co-Chairman of the Board of Woodrow Wilson Center Mexico Institute
Vice Chairman, Instituto Tecnológico y de Estudios Superiores de Monterrey
Board Member of:
Grupo Financiero BBVA Bancomer
Industrias Peñoles, S.A.B. de C.V.
Grupo Televisa
Volaris
Xignux, S.A. de C.V.

Daniel Servitje
Chief Executive Officer, Grupo Bimbo, S.A.B. de C.V.
Board member of:
Coca-Cola FEMSA, S.A.B de C.V.
Grupo Financiero Banamex, S.A. de C.V.
Grocery Manufacturers of America (USA).

Nicolás Mariscal
Chief Executive Officer, Grupo MARHNOS
Board member of:
Fundación Mexicana para el Desarrollo Rural, A.C.
Vice Chairman, Comite Empresarial Mexico-Guatemala del COMCE

Ricardo Guajardo
President, BBVA Holding U.S.A.
Board Member of:
Grupo Financiero BBVA Bancomer
Instituto Tecnológico y de Estudios Superiores de Monterrey
Grupo Fomento Económico Mexicano, S.A.B. de C.V.
Coca-Cola FEMSA S.A.B. de C.V.
Grupo Industrial Alfa
El Puerto de Liverpool
Grupo Aeroportuario del Sureste (ASUR)
Grupo COPPEL
Nacional Monte de Piedad
Chairman, Fondo para la Paz, community development fund for extreme poverty areas in Mexico.
Chairman SOLFI, Microfinance Co.

ADVISORY BOARD

BBU

Ambassador, Jeffrey Davidow
President, Institute of the Americas
(Former U.S. Ambassador to Mexico)
La Jolla, CA

Henry Davis
Chief Executive Officer, Promotora DAC, S.A. de C.V.
(Former CEO of Walmart Mexico)
Mexico City

Bernard Kastory
Professor at New York University
(Former Bestfoods EVP)
Saratoga Springs, NY

José Ignacio Mariscal
President, Grupo Marhnos, S.A. de C.V.
(CEO of Marhnos)
Mexico City

Robert C. Nakasone
(Former Jewel EVP and CEO of Toys R Us)
Santa Barbara, CA

Betsy Sanders
Principal, The Sanders Partnership
(Former Vice President & General Manager of Nordstrom, Inc.)
Sutter Creek, CA

Roberto Servitje
Chairman of the Board, Grupo Bimbo
Mexico City

Daniel Servijte
Chief Executive Officer, Grupo Bimbo

Reynaldo Reyna
Chief Executive Officer, Bimbo Bakeries USA, Inc.

Guillermo Quiroz
Chief Financial Officer, Grupo Bimbo

OLA

João Alves
President, Monte Cristalina, S.A.
São Paulo, Brazil

Alberto Hoyos
Chairman of the Board of Compañía de Galletas Noel, S.A.
Medellin, Colombia

Victor Milke
Chief Executive Officer, Corporacion Premium, S.C.
Mexico City

Luis Pagani
President, Grupo Arcor
Buenos Aires, Argentina

Leslie Pierce Diez
General Manager, Alicorp, S.A.
Lima, Peru

Lorenzo Sendra
Chairman of the Board, Proarce, S.A. de C.V.
Mexico City

Eduardo Tarajano
Private Investor
Key Biscayne, Florida

Roberto Servitje
Chairman of the Board, Grupo Bimbo
Mexico City

Daniel Servitje
Chief Executive Officer, Grupo Bimbo

Guillermo Quiroz
Chief Financial Officer, Grupo Bimbo

Alberto Díaz
Chief Executive Officer, Organizacion Latinoamerica

CORPORATE GOVERNANCE

BOLSTERING THE CONFIDENCE OF OUR INVESTORS

Throughout its development, Grupo Bimbo has worked on the basis of ethical business principles. Grupo Bimbo follows the Code of Best Corporate Practices, an initiative of the Mexican Stock Exchange (BMV), which establishes the bases of corporate governance for companies operating in Mexico, particularly those listed on the BMV, and provides firm support for investor confidence.

At Grupo Bimbo, these principles for sound business management are applied through our Board of Directors, whose duties include helping management define policies and strategies and recommending ways to make the company more efficient for the benefit of its shareholders. It also participates in decisions on the effective allocation of the Group's resources, particularly on the purchase or sale of productive assets.

STRUCTURE OF THE BOARD OF DIRECTORS

The Board of Directors of Grupo Bimbo is comprised of 18 directors and 18 alternate directors nominated and ratified at the Shareholders' Meeting on April 9, 2008. To perform its duties, the Board relies on the support of four governance committees:

Audit Committee

Composed solely of Independent Directors, its principal function is to verify that the operations of Grupo Bimbo are carried out in accordance with applicable regulations. This Committee has the authority to evaluate and supervise the activities of the management related to compliance with accounting policies and practices, to assess the performance of external and internal auditors of Grupo Bimbo, to investigate violations of internal control and internal auditing policies, and to evaluate policies for risk management, among others. The Audit Committee also issues opinions on any material changes in the accounting policies, criteria and practices applied in the preparation of the financial statements of Grupo Bimbo and on matters concerning the execution of material or unusual transactions.

Corporate Practices Committee

Pursuant to the provisions of the Securities Law, as amended on December 2005, the Board of Directors of Grupo Bimbo established a new committee to carry out activities in the area of corporate practices. Composed solely of Independent Directors, this Committee has the authority to issue opinions on transactions with related parties, opinions regarding the appointment, evaluation and dismissal of the Chief Executive Officer and senior officers of the company, as well as the overall compensation of the Chief Executive Officer and the senior officers of Grupo Bimbo.

Evaluation and Results Committee

This committee has the authority to analyze and approve the general compensation structure of Grupo Bimbo, as well as the policies and guidelines for compensation and development programs for the officers and employees of Grupo Bimbo and its subsidiaries. This committee also has authority to analyze the financial results of Grupo Bimbo and their impact on the general compensation structure of the Group.

Finance and Planning Committee

This committee is responsible for analyzing and submitting for the consideration of the Board of Directors its evaluation of long-term strategies and the principal investment and financing policies for Grupo Bimbo, as well as the identification of risks and the evaluation of risk management policies.

Code of Ethics

In addition to these policies and committees, Grupo Bimbo has self-regulatory rules that govern our business practices such as our Code of Ethics that covers general aspects and policies for interacting with the various groups around us:

With our associates, to guarantee respect for their dignity and individuality and to assure a workspace environment that promotes their well-being and development.

With our shareholders, to provide them with a reasonable profit on a sustained basis.

With our suppliers, to maintain cordial relations and encourage their development.

With our customers, to provide exemplary service and to support them in their growth and development through the value of our brands.

With our competitors, to compete vigorously and fairly on the basis of fair trade practices.

With consumers, to guarantee healthy foods and a wide variety of products through their continuous improvement.

With society at large, to promote universal ethical values and to support the economic and social growth of the communities in which we operate.

Conflicts of Interest

Internally, in order to avoid conflicts between the personal interests of our associates and those of the company, and to identify a resolution of such conflicts if necessary, all our associates have the responsibility to declare any financial or non-financial interest they may have that might be in conflict with their duties in Grupo Bimbo.

In the case of our executives and directors, we have a clearly defined policy on "Conflicts of Interest" and a special form that must be completed annually for this purpose. Any violation of this policy is deemed to be grounds for termination.

SUMMARY OF OPERATIONS

MEXICO

Net sales increased 10.3%, as a result of higher average prices, new product launches, and stable sales volumes. In addition, the non-traditional channels continued to register positive performance throughout the year. The operating margin increased 0.6 percentage points, to 12.5%, when compared to the previous year. This was mainly the result of the absorption of expenses resulting from higher sales and improvements at the operating level that more than offset the continued pressure in the gross margin, related to higher raw material prices observed during the first nine months of the year, and the additional impact of the currency devaluation against U.S. dollar experienced at the end of the year. During 2008, we acquired Galletas Gabi, a premium cookie–producer company.

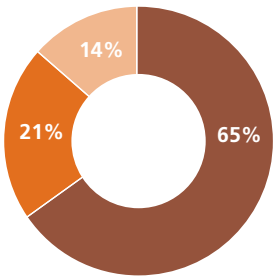
UNITED STATES

Net sales increased 9.0% in peso terms, while dollar sales rose 6.8% when compared to 2007. The above reflected several pricing actions taken over the past 12 months, growth at national retailers and the positive performance of new product launches, particularly in Oroweat, Mrs. Baird's and the Mexican brands. The operating margin declined by 0.5 percentage points to 0.7% as compared to 2007. This reduction is attributable to the cost escalation of raw materials and energy costs, which offset the benefit from price increases implemented throughout the year, improved pricing conditions for certain raw materials in the fourth quarter, the continued discipline in operating expenses, and lower labor and indirect production costs. At the end of 2008, we signed an agreement to acquire Weston Foods, Inc., acquisition that will give us a national leadership position in the baking industry.

LATIN AMERICA

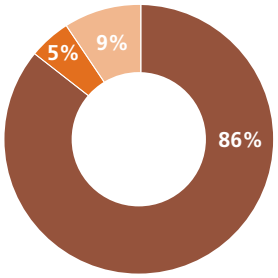
Net sales grew 49.3% when compared to 2007, with strong performance in every country as a result of the integration of new operations, double-digit volume growth rates, higher average product prices and new product launches. Excluding acquisitions, sales growth would have been 33.8% for the year. The operating margin increased by 0.3 percentage points to 3.8%. The above is mainly explained by the operating leverage derived from the significant growth in the scale of the operation, that more than offset the impact experienced in the gross margin. During 2008 we acquired five companies including Firenze, Laura and Nutrella in Brazil, Lido Pozuelo in Honduras, and Plucky in Uruguay.

NET SALES



- Mexico
- United States
- Latin America

EBITDA



MANAGEMENT'S DISCUSSION AND ANALYSIS OF RESULTS

All figures herein are expressed in millions of Mexican pesos, unless otherwise stated, and prepared in accordance with Mexican Financial Reporting Standards. Figures corresponding to 2007 are expressed in constant Mexican pesos as of December 31, 2007, while those corresponding to 2008 are expressed in nominal terms.

OVERVIEW

Grupo Bimbo reported a 13.9% increase in net sales in 2008. This performance is attributable to higher average prices due to pricing actions taken throughout the year, as well as stable sales volumes and an improved sales mix across every operation. Nevertheless, the above was not able to offset the continued cost escalation derived from higher prices of key raw materials during the first nine months of the year and the depreciation of certain currencies in Latin America against the U.S. dollar during the last quarter. As a result, gross margin for the year declined 1.7 percentage points, from 52.8% to 51.1%.

Despite the above, operating margin remained stable at 8.9% when compared to the previous year. Greater absorption of costs and expenses derived from increased sales along with significant efforts by the Company to contain administrative and operating expenses and increase productivity at the distribution level helped to reduce ongoing pressure at the gross margin level.

FACTORS AFFECTING PERFORMANCE

A number of external factors and trends, combined with internal operating initiatives, are reflected in the Company's operating and financial performance in 2008, including:

- Continued increases in raw material costs compared to 2007, mainly in the first nine months of the year, as a result of pressure in the international commodities markets. For wheat alone, which is the basis for the Company's principal input, wheat flour, the average price rose 30% year-over-year.
- The devaluation of certain Latin American currencies against the U.S. dollar during the last quarter of the year, particularly in Argentina, Brazil, Colombia, Chile and Mexico, which further impacted raw material costs and offset the relief experienced in the international prices of some commodities at the end of the year.
- Pricing actions taken across all of the Company's operations to offset the impact of higher raw material costs.
- Increased productivity and continued reductions in operating expenses in every region despite the continued expansion of the Company's distribution networks, particularly in the U.S. and Latin America.
- Continued brand building efforts that resulted in market share gains in several categories and regions in which the Company participates.

NET SALES

Net sales totaled Ps. 82,317 in 2008, a 13.9% increase over 2007, driven by solid performance in Mexico and the U.S., as well as strong growth of close to 50% in Latin America.

In Mexico, sales rose 10.3% to Ps. 54,845 mainly as a result of higher average prices and new product launches. In addition, the non-traditional channels continued to register positive performance throughout the year.

In the United States, net sales increased 9.0% in peso terms to Ps. 18,049, while dollar sales totaled US$ 1.6 billion, or 6.8% higher than in 2007. The above reflected several pricing actions taken over the past 12 months, growth at national retailers and the positive performance of new product launches, particularly in Oroweat, Mrs. Baird's and the Mexican brands.

In Latin America, net sales grew 49.3% to Ps. 11,346, with strong performance in every country as a result of the integration of new operations, double-digit volume growth rates, higher average product prices and new product launches. Excluding acquisitions, sales growth would have been 33.8% for the year.

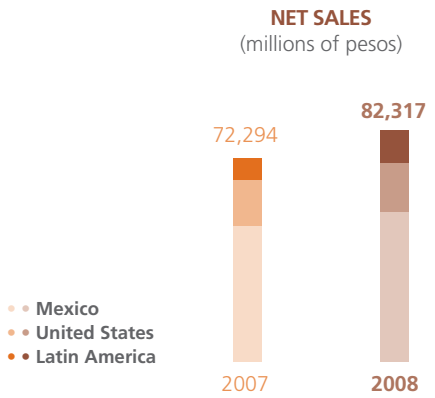
GROSS MARGIN

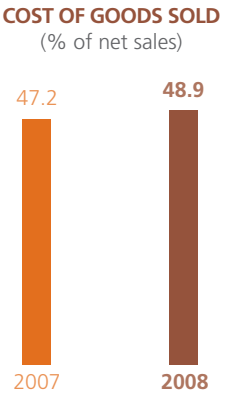
Gross margin declined by 1.7 percentage points to 51.1% as a result of the continued pressure from price increases in several of the Company's key raw materials and the additional impact of the depreciation of currencies against the U.S. dollar experienced at the end of the year. The above more than offset a more efficient sales mix, the absorption of fixed costs resulting from increased sales, and pricing actions taken over the course of the year.

On a regional basis, the gross margin in Mexico declined by 1.5 percentage points, to 53.4%, due to the cost escalation mentioned previously and the significant impact of the currency devaluation at a double-digit rate.

In the United States, the margin dropped by 2.0 percentage points, to 44.0%. This was due to higher raw material and energy costs, which were partially offset by: i) price increases implemented throughout the year, and ii) lower labor and indirect production costs.

In Latin America, the margin declined by 1.3 percentage points, to 42.2%, also due largely to rising raw material costs and the impact of currencies devaluation, mainly in Argentina, Brazil, Colombia and Chile. These factors more than offset the absorption of fixed costs resulting from increased sales and a more efficient sales mix.





OPERATING EXPENSES

Operating expenses represented 42.1% of net sales, a year-over-year decline of 1.9 percentage points. This was the result of the Company's ongoing efforts to contain administrative expenses, increase productivity at the distribution level, improve the sales mix, and implement pricing actions. By region, it is important to highlight the reduction in distribution expenses in the U.S. and Latin America despite the continued expansion of distribution networks.

OPERATING INCOME

On a consolidated basis, operating income rose 14.4% to Ps. 7,328 in 2008, a margin of 8.9%, which was flat when compared to 2007. The margin level was maintained despite the continued pressure on the cost of goods sold mentioned previously.

In Mexico, the margin expanded by 0.6 percentage points, to 12.5%, when compared to the previous year, mainly as a result of the absorption of expenses resulting from higher sales and improvements at the operating level that more than offset the raw material pricing pressure experienced throughout the year.

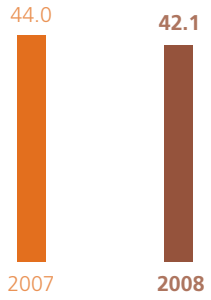
In the United States, the margin declined by 0.5 percentage points to 0.7% as compared to 2007. This decline is attributable to the cost escalation experienced during the first nine months of the year, which offset improved pricing conditions for certain raw materials in the fourth quarter and continued discipline in operating expenses.

In Latin America, the margin increased when compared to 2007 by 0.3 percentage points to 3.8%. The slight expansion is mainly explained by the operating leverage derived from the significant growth in the scale of the operation that more than offset the impact experienced in the gross margin. It is important to highlight that the Brazilian operation registered noteworthy improvements when compared to 2007, mainly resulting from the incorporation of Nutrella in the second quarter of the year.

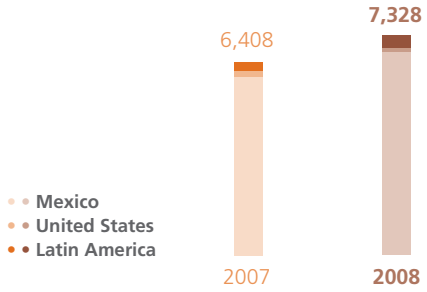
COMPREHENSIVE FINANCING RESULT

Financial costs totaled Ps. 539, Ps. 305 higher than in 2007. This increase is primarily the result of: i) the change in Mexican Financial Reporting Standards effective as of January 1, 2008, which eliminated the majority of the inflationary restatement of the monetary position and that accounted to approximately Ps. 259 in the year; and ii) an increase in the exchange loss mainly attributable to Latin America.

OPERATING EXPENSES
(% of net sales)



OPERATING INCOME
(millions of pesos)



NET MAJORITY INCOME

Net majority income rose 13.4% in 2008, to Ps. 4,320, as compared to the previous year. Net margin was 5.2%, a similar level to 2007.

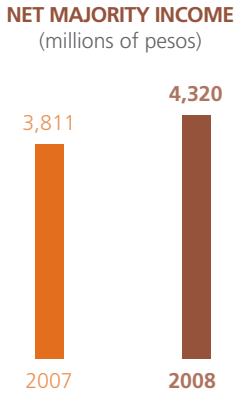
EARNINGS BEFORE INTEREST, TAXES, DEPRECIATION AND AMORTIZATION (EBITDA)

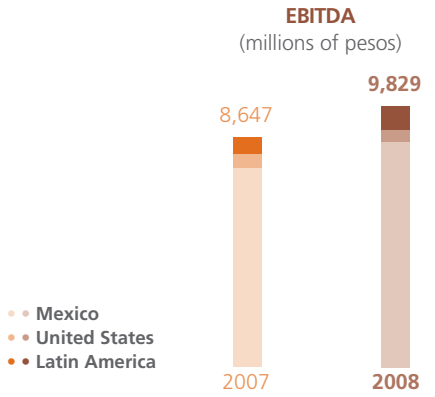
EBITDA totaled Ps. 9,829, 13.7% higher than in 2007, as a result of the performance at the operating level. The margin remained practically unchanged at 11.9%.

FINANCIAL STRUCTURE

At year-end 2008, the Company's cash position was Ps. 7,339, compared to Ps. 3,902 registered in 2007. The increase is mainly due to the drawdown in July 2008 of the remaining US$475 million of a US$600 million committed revolving facility that the Company contracted in June 2004.

The net debt position was Ps. 3,793, 78.7% higher than in 2007, while net debt to stockholders' equity was 0.11 times, compared to 0.07 in the previous year. It is important to highlight that this ratio changed significantly on a pro-forma basis to 1.1 times when taking into account the debt taken to finance the acquisition of Weston Foods, Inc.





AUDIT COMMITTEE'S LETTER

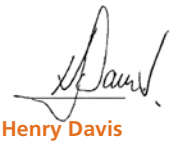
Mexico, D. F., March 10, 2009.

To the Board of Directors of Grupo Bimbo, S. A. B. de C. V.

In my capacity as Chairman of the Audit Committee (the "Committee") of "Grupo Bimbo, S. A. B. de C. V.," (the "Company") and in compliance with the provisions of paragraph e), section II of Article 42 of the Securities Market Law, I am submitting herewith the opinion of the Committee with respect to the contents of the report of the Chief Executive Officer in relation to the financial position and results of the Company for the year ended on December 31, 2008.

In the opinion of the Committee, the accounting policies and criteria followed and the information presented by the Company and included in the preparation of the consolidated financial information are adequate and sufficient and were applied in a consistent manner and in accordance with the Mexican Financial Reporting Standards. Accordingly, the consolidated financial information presented by the Chief Executive Officer reasonably reflects the financial position and results of the company at December 31, 2008.

Sincerely,



Henry Davis
Chairman of the Audit Committee of Grupo Bimbo, S. A. B. de C. V.

AUDIT COMMITTEE REPORT

México, D. F., March 10, 2009

To the Board of Directors of Grupo Bimbo, S. A. B. de C. V.

In compliance with the provisions of the Securities Market Law, the bylaws of the Company and the regulations of the Audit Committee, I am pleased to report to you on the activities conducted by the Audit Committee during the year ended December 31, 2008. In conducting our work, we have taken into consideration the recommendations established by the Code of Best Corporate Practices.

We met in full session on five occasions during the year and, as per our work plan, conducted the activities described below.

EXTERNAL AUDIT

We recommended the appointment of the external auditors of the Group to the Board of Directors, recommending a single firm rather than two, as had been done in prior years; in this process we confirmed their independence, policies for hiring personnel and other such criteria that we considered to be relevant. Once we selected the firm to audit the financial statements, we analyzed the focus of the audit and work plan with the external auditors, as well as their interaction with the internal auditing area.

We maintained direct communication with the external auditors that reviewed the financial statements of the Company and its affiliates. They kept us informed periodically on the progress of their work and any observations they had, and we took note of their comments on the quarterly and annual financial statements. We were informed in a timely manner about their conclusions and reports on the annual financial statements.

After analyzing the time incurred and the charges involved, we authorized the fees paid to the external auditors for auditing and other approved services, and assured that their independence from the Company was not compromised.

We conducted an evaluation of the services of the firm of external auditors during the previous year and reviewed the preliminary financial statements.

INTERNAL AUDIT

We reviewed and approved the annual work plan and budgeted activities for the year.
We received and approved the periodic reports on the state of progress of the approved work plan.
We followed up on the comments and suggestions made, as well as on their implementation.
We verified that there was an annual training program in place and confirmed that it was effective.

FINANCIAL INFORMATION AND ACCOUNTING POLICIES

We reviewed the quarterly and annual financial statements of the Company with the personnel responsible for their preparation and recommended that the Board of Directors approve such financial statements and we authorize their publication. We took the opinions and comments issued by the external auditors into consideration as part of this process.

With the support of the internal and external auditors and in issuing our opinion on the financial statements, we verified that the accounting policies and criteria and the information utilized by management in the preparation of the financial statements was adequate and sufficient and had been applied in a manner that was consistent with the prior year. As a result, the information presented by management reasonably reflects the financial position, results of operations and changes in financial position of the Company.

We approved the adoption of the new accounting procedures and standards that went into effect in 2008 and were issued by the organization responsible for accounting standards in Mexico.

INTERNAL CONTROLS

We confirmed that management has established general guidelines on the subject of internal controls, as well as implemented the necessary procedures for the application of internal control functions and compliance therewith. In addition, we followed up on the comments and observations made in this respect by the external and internal auditors in the performance of their work.

COMPLIANCE WITH APPLICABLE REGULATORY STANDARDS AND LAWS. CONTINGENCIES

With the support of the internal and external auditors, we confirmed the existence and reliability of the controls established by the Company to assure compliance with the various legal requirements to which it is subject and assured that there was adequate disclosure in the financial information.

We reviewed the numerous tax, legal and labor contingencies existing within the Company on a periodic basis and we confirmed that appropriate procedures were in place to identify and address such contingencies.

CODE OF ETHICS

With the support of the internal auditors and other departments in the Company, we reviewed compliance with the Code of Ethics of the Group by personnel.

COMPLIANCE WITH OTHER OBLIGATIONS

In accordance with the provisions of Article 28 of the Security Market Act, as well as under the bylaws and the terms of regulation of this Committee, we issued an opinion approving the acquisition of the Company George Weston Bakeries in the United States.

We held meetings with the officers and other management personnel as we considered necessary to be informed on an ongoing basis on the progress of the Company and any relevant or unusual activities and events.

We obtained information about significant matters that could involve possible non-compliance with the operating policies, internal control systems and policies with respect to the accounting records and were also informed of corrective measures taken in each such instance and found them to be satisfactory.

We did not deem it necessary to request support and opinions from independent experts, because the issues addressed in each meeting were duly supported by the necessary relevant information such that our conclusions were satisfactory to the board members on the Audit Committee.

In my capacity as Chairman of the Auditing Committee, I reported quarterly to the Board of Directors on the activities conducted jointly within the Committee.

The work that we conducted was duly documented in minutes prepared for each meeting, which were reviewed and approved at the time by the members of the Committee.

Sincerely,



Henry Davis
Chairman of the Audit Committee of Grupo Bimbo, S. A. B. de C. V.

CORPORATE PRACTICES
COMMITTEE REPORT

March 12, 2009

Don Roberto Servitje Sendra
Chairman of the Board of Directors of Grupo Bimbo, S.A.B de C.V.

Prolong. Paseo de la Reforma No. 1000
Colonia Peña Blanca Santa Fé
Deleg. Álvaro Obregón
01210 México, D.F.

Ref.: Report of Activities of the Corporate Practices Committee

Dear Mr. Chairman,

I am pleased to report to you that the Committee on Corporate Practices (the "Committee") of Grupo Bimbo, S.A.B de C.V. ("Bimbo") met on two occasions during fiscal year 2008 in conformity with the provisions of the corporate bylaws and the Securities Market Law.

In these meetings we reviewed a diversity of topics within the purview of the Committee, including the following highlights:

1. Approval of the Bimbo's Internal Control Policy for Transactions with Related Parties and Certification of Compliance by the various organizations within Bimbo.
2. Review and recommendation for approval by the Board of Directors of an increase in capital and a loan to Fincomún for the attainment of its corporate objective.
3. Review and recommendation to the Board of Directors to issue a guarantee for the payment of a conventional fine in the case of non-compliance by various shareholders for non-approval of the acquisition of shares and certain assets of Weston Foods, Inc.
4. Review and recommendation for approval by the Board of Directors of each and every transaction with related parties requiring approval by the Board of Directors.
5. Review and recommendation for approval by the Board of Directors of the policies for the designation, evaluation and compensation of the Chief Executive Officer as well as the members who served on the Executive Committee of Bimbo during fiscal year 2008.

The Committee received the necessary information from officers and employees of Bimbo and they were available to meet with the Committee. The meetings were documented in minutes accompanied by the supporting materials prepared by management.

Please do not hesitate to contact me if you have any questions or comments in connection herewith.

Sincerely,



Ricardo Guajardo
Chairman of the Committee on Corporate Practices

INDEPENDENT AUDITORS' REPORT

Independent Auditors' Report

to the Board of Directors and Stockholders of Grupo Bimbo, S. A. B. de C. V.

We have audited the accompanying consolidated balance sheets of Grupo Bimbo, S. A. B. de C. V. and subsidiaries (the "Company") as of December 31, 2008 and 2007, and the related consolidated statements of income and changes in stockholders' equity for the years then ended, of cash flows for the year ended December 31, 2008 and of changes in financial position for the year ended December 31, 2007. These financial statements are the responsibility of the Company's management. Our responsibility is to express an opinion on these financial statements based on our audits. We did not audit the financial statements of the vast majority of the foreign consolidated subsidiaries for the year ended December 31, 2007, which statements reflect total assets and total net sales constituting 39% and 31%, respectively, of the related consolidated totals for that year. Those statements were audited by other auditors whose reports have been furnished to us, and our opinion, insofar as it relates to the amounts included for such subsidiaries for the year ended December 31, 2007, is based solely on the reports of the other auditors.

We conducted our audits in accordance with auditing standards generally accepted in Mexico. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free of material misstatement and that they are prepared in accordance with Mexican Financial Reporting Standards. An audit includes examining, on a test basis, evidence supporting the amounts and disclosures in the financial statements. An audit also includes assessing the financial reporting standards used and significant estimates made by management, as well as evaluating the overall financial statement presentation. We believe that our audits and the reports of the other auditors provide a reasonable basis for our opinion.

As mentioned in Note 3, beginning January 1, 2008, the Company adopted the provisions of the following financial reporting standards: NIF B-2, Statement of Cash Flows; NIF B-10, Effects of Inflation; NIF B-15, Foreign Currency Translation; NIF D-3, Employee Benefits, and NIF D-4, Income Taxes. Therefore, the consolidated financial statements are not comparable.

In our opinion, based on our audits and reports of the other auditors, such consolidated financial statements present fairly, in all material respects, the financial position of Grupo Bimbo, S. A. B. de C. V. and subsidiaries as of December 31, 2008 and 2007, and the results of their operations and changes in their stockholders' equity for the years then ended, their cash flows for the year ended December 31, 2008 and changes in their financial position for the year ended December 31, 2007, in conformity with Mexican Financial Reporting Standards.

The accompanying consolidated financial statements have been translated into English for the convenience of users.

Galaz, Yamazaki, Ruiz Urquiza, S. C.
Member of Deloitte Touche Tohmatsu



C. P. C. Jorge Federico Alamillo Sotomayor

March 12, 2009

Grupo Bimbo, S. A. B. de C. V. and Subsidiaries
As of December 31, 2008 and 2007

CONSOLIDATED BALANCE SHEETS

(In millions of Mexican pesos)

	2008	2007
Assets		
Current assets:		
Cash and cash equivalents	$ 7,339	$ 3,902
Accounts and notes receivable - net	6,874	4,818
Inventories - net	2,573	1,845
Prepaid expenses	431	521
Derivative financial instruments	204	92
Total current assets	17,421	11,178
Property, plant and equipment - net	26,039	23,504
Investment in shares of associated companies	1,416	1,157
Deferred income taxes	1,417	1,078
Trademarks and rights of use	4,951	3,491
Goodwill	6,313	3,890
Intangible assets for employee retirement benefits	–	298
Other assets - net	949	647
Total	$ 58,506	$ 45,243
Liabilities and stockholders' equity		
Current liabilities:		
Notes payable to financial institutions	$ 2,054	$ 2,605
Trade accounts payable	4,881	4,296
Other accounts payable and accrued liabilities	3,773	3,072
Due to related parties	584	470
Statutory employee profit sharing	524	467
Derivative financial instruments	47	–
Total current liabilities	11,863	10,910
Long-term debt	9,079	3,419
Employee labor obligations and workers' compensation	982	1,099
Deferred statutory employee profit sharing	351	29
Deferred income taxes	1,257	1,289
Total liabilities	23,532	16,746
Stockholders' equity:		
Capital stock	8,006	8,006
Reserve for repurchase of shares	759	759
Retained earnings	24,473	27,994
Other concepts of accumulated other comprehensive income (loss)	1,189	(6,541)
Initial cumulative effect of deferred income taxes	–	(2,397)
Valuation of financial instruments	(163)	95
Majority stockholders' equity	34,264	27,916
Minority interest in consolidated subsidiaries	710	581
Total stockholders' equity	34,974	28,497
Total	$ 58,506	$ 45,243

See accompanying notes to consolidated financial statements.

Grupo Bimbo, S. A. B. de C. V. and Subsidiaries
For the years ended December 31, 2008 and 2007

CONSOLIDATED STATEMENTS OF INCOME

(In millions of Mexican pesos)

	2008	2007
Net sales	$ 82,317	$ 72,294
Cost of sales	40,293	34,095
Gross profit	42,024	38,199
General expenses:		
Distribution and selling	29,621	27,128
Administrative	5,075	4,663
	34,696	31,791
Income after general expenses	7,328	6,408
Other expenses, net	475	395
Net comprehensive financing cost:		
Interest expense, net	461	462
Exchange loss, net	153	106
Monetary position gain	(75)	(334)
	539	234
Equity in income of associated companies	24	60
Income before income taxes	6,338	5,839
Income tax expense	1,894	1,925
Consolidated net income for the year	$ 4,444	$ 3,914
Net income of majority stockholders	$ 4,320	$ 3,811
Net income of minority stockholders	$ 124	$ 103
Basic earnings per common share	$ 3.67	$ 3.24
Weighted average number of shares outstanding (000´s)	1,175,800	1,175,800

See accompanying notes to consolidated financial statements.

CONSOLIDATED STATEMENTS OF CHANGES IN STOCKHOLDERS' EQUITY

(In millions of Mexican pesos)

	Capital stock	Reserve for repurchase of shares	Retained earnings
Balances, January 1, 2007	$ 8,006	$ 759	$ 24,666
Dividends declared	–	–	(483)
Balances before comprehensive income (loss)	8,006	759	24,183
Consolidated net income for the year	–	–	3,811
Effect of valuation of financial instruments	–	–	–
Restatement effects for the year	–	–	–
Adjustment to additional pension liability	–	–	–
Translation effects of foreign subsidiaries	–	–	–
Comprehensive income (loss)	–	–	3,811
Balances, December 31, 2007	8,006	759	27,994
Reclassification of cumulative insufficiency in restatement of stockholders' equity as of January 1, 2008	–	–	(4,625)
Reclassification of initial cumulative effect of deferred income taxes as of January 1, 2008	–	–	(2,397)
Dividends declared	–	–	(541)
Balances before comprehensive income	8,006	759	20,431
Effect of deferred statutory employee profit sharing from change in accounting method	–	–	(278)
Adjustment to additional liability from retirement benefits	–	–	–
Consolidated net income for the year	–	–	4,320
Effect of valuation of financial instruments	–	–	–
Translation effects of foreign subsidiaries	–	–	–
Comprehensive income	–	–	4,042
Balances, December 31, 2008	**$ 8,006**	**$ 759**	**$ 24,473**

See accompanying notes to consolidated financial statements.

Other concepts of accumulated other comprehensive income (loss)	Initial cumulative effect of deferred income taxes	Valuation of financial instruments	Majority stockholders' equity	Minority interest in consolidated subsidiaries	Total stockholders' equity
$ (6,563)	$ (2,397)	$ (32)	$ 24,439	$ 527	$ 24,966
–	–	–	(483)	(47)	(530)
(6,563)	(2,397)	(32)	23,956	480	24,436
–	–	–	3,811	103	3,914
–	–	127	127	–	127
(191)	–	–	(191)	(2)	(193)
227	–	–	227	–	227
(14)	–	–	(14)	–	(14)
22	–	127	3,960	101	4,061
(6,541)	(2,397)	95	27,916	581	28,497
4,625	–	–	–	–	–
–	2,397	–	–	–	–
–	–	–	(541)	(74)	(615)
(1,916)	–	95	27,375	507	27,882
–	–	–	(278)	–	(278)
150	–	–	150	–	150
–	–	–	4,320	124	4,444
–	–	(258)	(258)	–	(258)
2,955	–	–	2,955	79	3,034
3,105	–	(258)	6,889	203	7,092
$ 1,189	**$ –**	**$ (163)**	**$ 34,264**	**$ 710**	**$ 34,974**

CONSOLIDATED STATEMENT OF CASH FLOWS

(In millions of Mexican pesos)

	2008
Operating activities:	
Income before income taxes	$ 6,338
Items related to investing activities:	
Depreciation and amortization	2,501
Loss on sale of property, plant and equipment	101
Equity in income of associated companies	(24)
Items related to financing activities:	
Interest expense	814
Interest income	(63)
Unrealized exchange loss on long-term debt	1,527
(Increase) decrease in:	
Accounts and notes receivable	(1,574)
Inventories	(628)
Prepaid expenses	173
Trade accounts payable	726
Other accounts payable and accrued liabilities	1,050
Due to related parties	114
Income tax payable	(2,266)
Derivative financial instruments	(255)
Statutory employee profit sharing	44
Employee labor obligations and workers' compensation	272
Net cash flow from operating activities	8,850
Investing activities:	
Acquisition of property, plant and equipment	(3,989)
Proceeds from sale of property, plant and equipment	160
Acquisition of trademarks, rights of use and other assets	(416)
Dividends received	4
Investments in shares of associated companies	(239)
Acquisition of business net of cash received	(2,743)
Interest received	63
Net cash flow from investing activities	(7,160)
Excess cash to apply to financing activities	1,690
Financing activities:	
Proceeds from long-term debt	5,852
Payment of long-term debt	(2,605)
Interest paid	(830)
Payments of interest rate swaps	(68)
Dividends paid	(615)
Net cash flow from financing activities	1,734
Adjustments to cash flows due to exchange rate fluctuations	20
Adjustments to cash flows due to inflationary effects	(7)
Adjustments due to variations in exchange rates and inflationary effects	13
Net increase in cash and cash equivalents	3,437
Cash and cash equivalents at the beginning of the year	3,902
Cash and cash equivalents at the end of the year	$ 7,339

See accompanying notes to consolidated financial statements.

CONSOLIDATED STATEMENT OF CHANGES IN FINANCIAL POSITION

(In millions of Mexican pesos)

	2007
Operating activities:	
Consolidated net income	$ 3,914
Items that did not require (generate) resources:	
Depreciation and amortization	2,239
Equity in income of associated companies	(60)
Employee labor obligations and workers' compensation	(116)
Deferred income taxes	233
Deferred statutory employee profit sharing	(17)
Impairment of long-lived assets	4
	6,197
Changes in current assets and liabilities:	
Increase in:	
Accounts and notes receivable	(398)
Inventories	(146)
Prepaid expenses	(224)
Trade accounts payable	247
Other accounts payable, accrued liabilities and statutory employee profit sharing	340
Due to related parties	14
Net resources generated by operating activities	6,030
Financing activities:	
Short-term loans from financial institutions, net	377
Long-term debt	(3,072)
Dividends declared	(530)
Derivative financial instruments	(25)
Adjustment to additional pension liability	227
Translation effects of foreign entities	11
Net resources used in financing activities	(3,012)
Investing activities:	
Acquisition of property, machinery and equipment, net of retirements	(4,330)
Increase in investment in associated companies	(154)
Trademarks and rights of use	(108)
Goodwill	(54)
Other assets	(160)
Net resources used in investing activities	(4,806)
Cash and equivalents:	
Net decrease	(1,788)
Balance at beginning of year	5,690
Balance at end of year	$ 3,902

See accompanying notes to consolidated financial statements.

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS

(In millions of Mexican pesos)

1. THE COMPANY

Grupo Bimbo, S. A. B. de C. V. and subsidiaries ("Grupo Bimbo" or the "Company") are engaged in the manufacture, distribution and sale of bread, cookies, cakes, candies, chocolates, snacks, tortillas and processed foods.

The Company operates in the following geographical areas: Mexico, the United States of America (USA), Central and South America (OLA), Europe and China. Due to its insignificance, the financial information of the European and Chinese regions is aggregated with Mexico.

2. BASIS OF PRESENTATION

a. Explanation for translation into English - The accompanying consolidated financial statements have been translated from Spanish into English for use outside of Mexico. These consolidated financial statements are presented on the basis of Mexican Financial Reporting Standards ("MFRS"). Certain accounting practices applied by the Company that conform with MFRS may not conform with accounting principles generally accepted in the country of use.

b. Monetary unit of the financial statements - The financial statements and notes as of December 31, 2008 and for the year then ended include balances and transactions denominated in Mexican pesos of different purchasing power, while those as of and for the year ended December 31, 2007 are presented in Mexican pesos of purchasing power of December 31, 2007.

c. Consolidation of financial statements - At December 31, 2008 and 2007, the consolidated financial statements include those of Grupo Bimbo, S. A. B. de C. V. and its subsidiaries, of which some of the more significant are shown below:

Subsidiary	Ownership percentage	Principal Business
Bimbo, S. A. de C. V.	97	Bakery
Barcel, S. A. de C. V.	97	Candies and snacks
Gastronomía Avanzada Pastelerías, S. A. de C. V. (El Globo)	100	Bakery and cakes
Bimbo Bakeries USA, Inc. (BBU or EUA)	100	Bakery
Bimbo do Brasil, Ltda.	100	Bakery
Ideal, S. A. (Chile)	100	Bakery
Bimbo Venezuela, C. A.	100	Bakery

All significant intercompany balances and transactions have been eliminated in these consolidated financial statements.

The Company's investment in shares of associated companies is valued by the equity method or historical costs, depending on the shareholding percentage. Associated companies are not consolidated in these financial statements as the Company does not have control over such entities.

During 2008 and 2007, net sales of Bimbo, S. A. de C. V. and Barcel, S. A. de C. V. in Mexico represented approximately 63% and 64%, respectively, of consolidated net sales.

d. Acquisitions - During 2008 and 2007, the Company acquired the following businesses:

Date	Company	Country	Acquisition cost
2008:			
April 30 and June 16	Nutrella Alimentos, S. A.	Brazil	1,580
May 1	Assets and trademarks of "Galletas Gabi"	Mexico	256
March 25	Lido Pozuelo, S. A.	Honduras	227
January 2	Panificio Laura, Ltda.	Brazil	202
February 21	Assets and trademarks of "Firenze"	Brazil	185
April 2	Plucky, S. A.	Uruguay	123
			$ 2,573
2007:			
July 31	El Maestro Cubano Florentino Sande, S. A.	Uruguay	93
June 21	Rolly's Pastelería, S. A. and King Baker Home, S. A.	Peru	77
May 30	Assets and trademarks of "Moderna"	Panama	57
February 7	Agua de Piedra, S. A.	Chile	46
June 12	Pan Catalán, S. A.	Uruguay	21
October 31	Temis, S. A.	Paraguay	17
January 31	Assets and trademarks of "La Favorita"	Panama	9
			$ 320

In connection with the above acquisitions, capitalized expenses related to the acquisition of Weston Foods Inc. and those related to investments in associated companies, total goodwill of $1,634 and $97 was recognized in 2008 and 2007, respectively. Due to the relative insignificance of these acquisitions, no additional disclosures are considered necessary.

e. Translation of financial statements of foreign subsidiaries - To consolidate the financial statements of foreign subsidiaries (located principally in the USA and other Latin American countries, which represent 35% and 33% of consolidated net sales and 37% and 40% of consolidated total assets in 2008 and 2007, respectively), the accounting policies of the foreign entity are converted to MFRS using the currency in which transactions are recorded, except for the application of NIF B-10, when the foreign entity operates in an inflationary environment, since this NIF applies to financial statements that have been remeasured to the functional currency. The financial statements are subsequently translated to Mexican pesos considering the following methodologies:

- Beginning in 2008, foreign operations that operate in a noninflationary environment translate their financial statements using the following exchange rates: 1) the closing exchange rate in effect at the balance sheet day for assets and liabilities; 2) historical exchange rates for stockholders' equity, revenues, costs and expenses. Through 2007, the financial statements of foreign subsidiaries that operated independently of the Company in terms of finances and operations recognized the effects of inflation of the country in which they operate and were then translated to Mexican pesos using the closing exchange rate in effect at the balance sheet date. In both 2008 and 2007, translation effects are recorded in stockholders' equity.

- Beginning in 2008, foreign operations that operate in an inflationary environment and who operated independently of the Company in terms of finances and operations in 2007, first restate their financial statements in currency of purchasing power as of the date of the balance sheet, using the price index of their country, and subsequently translate those amounts to Mexican pesos using the closing exchange rate in effect at the balance sheet date for all items. In both 2008 and 2007, translation effects are recorded in stockholders' equity.

f. Comprehensive income (loss) and other comprehensive income (loss) - Comprehensive income (loss) presented in the accompanying statement of changes in stockholders' equity is the modification of stockholders' equity during the year for items that are not distributions or movements of contributed capital and includes consolidated net income for the year plus other items that represent a gain or loss for the same period, which, in conformity with MFRS, are recorded directly in stockholders' equity without affecting the results of operations. The items of other comprehensive income (loss) consist of the adjustment to the additional pension liability, the unrealized accrued effects of derivative instruments and the translation and restatement effects of foreign entities, plus in 2008 the cumulative effects of deferred employee profit sharing due to a change in accounting method and in 2007 the insufficiency in restatement of stockholders' equity. When assets and liabilities included in other comprehensive income are realized, those amounts are recorded in income.

g. Classification of costs and expenses - Costs and expenses presented in the consolidated statements of income were classified according to their function because this is the practice of the sector to which the Company belongs.

3. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

The accompanying consolidated financial statements have been prepared in conformity with MFRS, which require that management make certain estimates and use certain assumptions that affect the amounts reported in the financial statements and their related disclosures; however, actual results may differ from such estimates. The Company's management, upon applying professional judgment, considers that estimates made and assumptions used were adequate under the circumstances. The significant accounting policies of the Company are as follows:

a. Accounting changes

In 2008, the Mexican Board for Research and Development of Financial Information Standards ("CINIF") issued the following NIFs and Interpretations of Financial Reporting Standards ("INIF") , which became effective for fiscal years beginning on January 1, 2008:

- NIF B-2, Statement of Cash Flows - This NIF replaces Bulletin B-12, Statement of Changes in Financial Position, and allows entities to determine and present their cash flows from operating activities using either the direct or the indirect method. The Company has elected to use the indirect method. The statement of cash flows is presented in nominal pesos, except for those foreign operations that operate in an inflationary environment. NIF B-2 establishes that this accounting change is to be applied prospectively, and consequently the Company presents a statement of cash flows for 2008 and a statement of changes in financial position for 2007.

- NIF B-10, Effects of Inflation - Considers two economic environments: a) inflationary environment, when cumulative inflation of the three preceding years is 26% or more, in which case, the effects of inflation should be recognized using the comprehensive method; and b) noninflationary environment, when cumulative inflation of the three preceding years is less than 26%, in which case, no inflationary effects should be recognized in the financial statements. Additionally, NIF B-10 eliminates the replacement cost and specific indexation methods for inventories and fixed assets, respectively, and requires that the cumulative gain or loss from holding nonmonetary assets be reclassified to retained earnings, if such gain or loss is realized; the gain or loss that is not realized will be maintained in stockholders' equity and charged to current earnings of the period in which the originating item is realized. The Company determined it was impractical to identify the gain (loss) from monetary position in equity and the cumulative gain (loss) from holding nonmonetary assets relating to unrealized assets as of January 1, 2008; therefore, on that date, the Company reclassified the entire balance of insufficiency in restatement of stockholders' equity to retained earnings. NIF B-10 establishes that this accounting change be recognized prospectively.

The cumulative inflation for the preceding three years in Mexico and in the majority of the countries in which the Company operates is less than 26%, and as a result such economic environments are classified as noninflationary. Effective January 1, 2008, the Company suspended the recognition of the effects of inflation in its consolidated financial statements, except for those of foreign entities operating in inflationary economic environments; however, assets, liabilities and stockholders' equity at December 31, 2008 and 2007 include the effects of the restatements recognized through December 31, 2007.

The cumulative inflation for the preceding three years in those countries whose economic environment is inflationary is as follows:

Argentina	34%
Costa Rica	38%
Nicaragua	43%
Paraguay	31%
Venezuela	64%

- NIF B-15, Translation of Foreign Currencies - NIF B-15 eliminates classification of integrated foreign operations and foreign entities and incorporates the concepts of accounting currency, functional currency and reporting currency. NIF B-15 establishes the procedures to translate the financial information of a foreign subsidiary: i) from the accounting to the functional currency; and ii) from the functional to the reporting currency, and allows entities to present their financial statements in a reporting currency other than their functional currency.

- NIF D-3, Employee Benefits - This NIF includes current and deferred PTU. Deferred PTU should be calculated using the same methodology established in NIF D-4 instead of considering only the temporary differences in the reconciliation of book and PTU taxable income.

  Additionally, this NIF eliminates the recognition of the additional liability by not assuming any salary increase. It also includes the career salary concept and limits the amortization period of the following items to the lesser of five years or the employee's remaining labor life:

  - Beginning balance of the transition liability for severance and retirement benefits.
  - Beginning balance of past service cost and changes to the plan.
  - Beginning balance of actuarial gains and losses from severance benefits, should be amortized over a 5-year period (net of the transition liability).

  The beginning balance of actuarial gains and losses for termination benefits was included in other expenses of 2008.

- NIF D-4, Income Taxes - This NIF eliminates the permanent difference concept, clarifies and incorporates various definitions and requires that the initial cumulative effect of deferred income taxes be reclassified to retained earnings, unless it is identified with some of the other comprehensive income items that have not been applied against earnings.

b. Recognition of the effects of inflation - These effects are recognized as mentioned in (a) above. Until December 31, 2007 for all entities and in 2008 only for those foreign entities operating in inflationary economic environments, recognition of the effects of inflation results mainly in inflationary gains or losses on nonmonetary and monetary items that are presented in the consolidated financial statements under the following two line items:

- Insufficiency in restated stockholders´ equity - Represents the accumulated monetary position result through the initial restatement of the consolidated financial statements and the loss from holding nonmonetary assets which resulted from restating certain nonmonetary assets below inflation utilizing appraisal values.

- Monetary position result - Monetary position result, which represents the erosion of purchasing power of monetary items caused by inflation, is calculated by applying National Consumer Price Index (NCPI) factors to monthly net monetary position. Gains (losses) result from maintaining a net monetary liability (asset) position, respectively.

c. Cash and cash equivalents - Cash and cash equivalents consist mainly of bank deposits in checking accounts and readily available daily investments of cash surpluses. Cash and cash equivalents are stated at nominal value plus accrued yields, which are recognized in Comprehensive Financing Cost (CFC) as they accrue. Cash equivalents are primarily represented by investments in Mexican Treasury Certificates and investment funds.

d. Inventories and cost of sales - Beginning in 2008, inventories are stated at the lower of average cost or realizable value for those entities operating in noninflationary economic environments. Until December 31, 2007 for all entities and to date for those foreign entities operating in inflationary economic environments, inventories were stated at average cost, which was similar to their replacement value at year end, without exceeding net realizable value, and cost of sales was stated at latest production cost, which was similar to replacement cost at the time goods are sold.

e. Property, plant and equipment - Beginning in 2008, property, plant and equipment are recorded at acquisition cost for those entities operating in noninflationary economic environments. Balances arising from acquisitions made through December 31, 2007 for all entities and to date for those foreign entities operating in inflationary environments, were restated for the effects of inflation by applying factors derived from the NCPI through that date. Depreciation is calculated using the straight-line method based on the following depreciation rates:

Buildings	5
Manufacturing equipment	8, 10 and 35
Vehicles	10 and 25
Office furniture and fixtures	10
Computers	30

f. Derivative financial instruments - The Company states all derivatives at fair value in the balance sheet, regardless of the purpose for holding them. Fair value is determined using prices quoted on recognized markets. If such instruments are not traded, fair value is determined by applying recognized valuation techniques.

Changes in the fair value of derivative instruments designated as hedges are recognized as follows; (1) for fair value hedges, changes in both the derivative instrument and the hedged item are recognized in current earnings; (2) for cash flow hedges, changes are temporarily recognized as a component of other comprehensive income and then reclassified to current earnings when affected by the hedged item; (3) for hedges of an investment in a foreign subsidiary, the effective portion is recognized as a component of other comprehensive income as part of the cumulative translation adjustment. The ineffective portion of the gain or loss on the hedging instrument is recognized in current earnings, if it is a derivative financial instrument. If not, it is recognized as a component of other comprehensive income until the investment is sold or transferred.

To manage its exposure to interest rate and foreign currency fluctuations, the Company principally uses interest rate swaps and foreign currency forward contracts, as well as futures to fix the purchase price of raw materials. The Company formally documents all hedging relationships, including their objectives and risk management strategies to carry out derivative transactions. Derivative trading is performed only with institutions of recognized solvency, and limits have been established for each institution.

While certain derivative financial instruments are contracted for hedging from an economic point of view, they are not designated as hedges for accounting purposes. Changes in fair value of such derivative instruments are recognized in current earnings as a component of net comprehensive financing cost (CFC).

The hedging derivative instruments are recorded as assets or liabilities without offsetting them against the hedged items.

g. Goodwill - Goodwill represents the excess of cost over book value of subsidiaries at the acquisition date. Beginning in 2008 goodwill is recorded at cost. Through December 31, 2007 for all entities and to date for those entities operating in inflationary economic environments, it was restated using the NCPI, and, at least once a year, is subject to impairment tests.

h. Trademarks and rights of use - Beginning in 2008 trademarks and rights of use are recorded at acquisition cost for those entities operating in noninflationary economic environments and are derived mainly from the acquisition of the George Weston, Ltd. Businesses. The Company acquired the trademark of Oroweat bread, as well as a direct distribution system consisting of approximately 1,300 routes. Similarly, it acquired the usage rights of the Entenmann's, Thomas and Boboli trademarks and the brands Nutrella, Firenze and San Francisco in Brazil. Through December 31, 2007 for all entities and to date for those foreign entities operating in inflationary economic environments, trademarks and rights of use were restated using the NCPI. Such assets are no longer amortized; however, the carrying values are subject to impairment tests.

i. Impairment of long-lived assets in use - The Company reviews the carrying amounts of long-lived assets in use when an impairment indicator suggests that such amounts might not be recoverable, considering the greater of the present value of future net cash flows or the net sales price upon disposal. Impairment is recorded when the carrying amounts exceed the greater of the amounts mentioned above. The impairment indicators considered for these purposes are, among others, the operating losses or negative cash flows in the period if they are combined with a history or projection of losses, depreciation and amortization charged to results, which in percentage terms in relation to revenues are substantially higher than that of previous years, obsolescence, reduction in the demand for the products manufactured, competition and other legal and economic factors. In 2008, no impairments were required, and in 2007 an impairment of brands of $4 was recorded, mainly due to changes in market strategies that resulted in the decision to discontinue certain brands in the future.

j. Employee retirement benefits and workers' compensation - The liability from seniority premiums and pensions is recorded as accrued and is calculated by independent actuaries using the projected unit credit method using nominal interest rates in 2008 and actual rates in 2007.

Workers' compensation relates to the insurable risks such as general liability, automobile liability, and other compensation that are self-insured by the Company, with insurance coverage subject to specified limits. Liabilities for insurable risks have been determined using the Company's historical data and insurance industry data according to actuarial calculations.

k. Statutory employee profit sharing - Statutory employee profit sharing ("PTU") is recorded in the results of the year in which it is incurred and presented under other expenses in the accompanying consolidated statements of income. Deferred PTU is derived from temporary differences that in 2008 resulted from comparing the accounting and tax basis of assets and liabilities and, in 2007, resulted from comparing the accounting result and income for PTU purposes. Deferred PTU is recognized only when it can be reasonably assumed that such difference will generate a liability or benefit, and there is no indication that circumstances will change in such a way that the liabilities will not be paid or benefits will not be realized.

l. Income taxes - Income taxes, calculated as the higher of regular income tax ("ISR") or the Business Flat Tax ("IETU"), are recorded in the results of the year in which they are incurred. To recognize deferred income taxes, based on its financial projections, the Company determines whether it expects to incur ISR or IETU and accordingly recognizes deferred taxes based on the tax it expects to pay. Deferred taxes are calculated by applying the corresponding tax rate to the applicable temporary differences resulting from comparing the accounting and tax bases of assets and liabilities and including, if any, future benefits from tax loss carryforwards and certain tax credits. Deferred tax assets are recorded only when there is a high probability of recovery.

m. Foreign currency balances and transactions - Foreign currency transactions are recorded at the applicable exchange rate in effect at the transaction date. Monetary assets and liabilities denominated in foreign currency are translated into Mexican pesos at the applicable exchange rate in effect at the balance sheet date. Exchange fluctuations are recorded as a component of results of the period.

n. Revenue recognition - Revenues are recognized in the period in which the risks and rewards of the products are transferred to the customers who purchased them, which generally occurs when these products are delivered to the customer. The Company deducts certain marketing expenses, such as promotion expenses, from sales.

o. Earnings per share - Basic earnings per share is calculated by dividing consolidated net majority income by the weighted average number of shares outstanding during the year.

4. ACCOUNTS AND NOTES RECEIVABLE

	2008	2007
Customers and agencies	$ 5,139	$ 4,049
Allowance for doubtful accounts	(130)	(102)
	5,009	3,947
Notes receivable	137	194
Value-added tax and other recoverable taxes	180	25
Sundry debtors	1,239	625
Bismark Acquisition, L. L. C., related party	306	–
Officers and employees	3	27
	$ 6,874	$ 4,818

5. INVENTORIES

	2008	2007
Finished products	$ 817	$ 687
Orders in-process	111	63
Raw materials, containers and wrapping	1,303	955
Other	84	52
Allowance for slow-moving inventories	(3)	(5)
	2,312	1,752
Advances to suppliers	144	12
Raw materials in-transit	117	81
	$ 2,573	$ 1,845

6. PROPERTY, PLANT AND EQUIPMENT

	2008	2007
Buildings	$ 9,279	$ 8,332
Manufacturing equipment	23,615	20,675
Vehicles	8,488	7,706
Office furniture and fixtures	496	396
Computers	1,720	1,385
	43,598	38,494
Less- Accumulated depreciation	(21,247)	(18,755)
	22,351	19,739
Land	2,526	2,410
Construction in-progress and machinery in-transit	1,162	1,355
	$ 26,039	$ 23,504

7. INVESTMENT IN SHARES OF ASSOCIATED COMPANIES

At December 31, 2008 and 2007, the investment in shares of associated companies is as follows:

Associated companies	% ownership	2008	2007
Beta San Miguel, S. A. de C. V.	8	292	282
Bismark Acquisition, L. L. C.	30	17	24
Congelación y Almacenaje del Centro, S. A. de C. V.	15	78	75
Fábricas de Galletas La Moderna, S. A. de C. V.	50	255	–
Fin Común, S. A. de C. V.	30	55	55
Grupo Altex, S. A. de C. V.	11	104	74
Grupo La Moderna, S. A. de C. V.	3	122	105
Innovación en Alimentos, S. A. de C. V.	50	(13)	22
Mundo Dulce, S. A. de C. V.	50	340	371
Ovoplus, S. A. de C. V.	25	50	37
Pierre, L. L. C.	30	15	14
Productos Rich, S. A. de C. V.	18	63	56
Others	Various	38	42
		$ 1,416	$ 1,157

8. TRADEMARKS AND RIGHTS OF USE

The following is an analysis of the balance of trademarks and rights of use by geographical area as of December 31, 2008 and 2007:

	2008	2007
Mexico	$ 913	$ 746
United States of America	3,067	2,520
Central and South America	971	225
	$ 4,951	$ 3,491

9. GOODWILL

The following is an analysis of the balance of goodwill by geographical area as of December 31, 2008 and 2007:

	2008	2007
Mexico	$ 715	$ 674
United States of America	4,253	3,038
Central and South America	1,345	178
	$ 6,313	$ 3,890

10. LONG-TERM DEBT

	2008	2007
Committed Revolving (Multi-currency) Line of Credit - Revolving line of credit in the amount of US$600 million, of which 50% is available in Mexican pesos with a term of 5 years, maturing in July 2010. The financial terms applicable are as follows: For US dollar borrowings, the Company must pay the LIBOR rate plus 0.40% until the third anniversary and LIBOR rate plus 0.45% during the remaining term, while in case of Mexican peso borrowings, the Company must pay the TIIE rate plus 0.35% until the third anniversary and TIIE rate plus 0.40% thereafter until maturity. As of December 31, 2008 and 2007, the balance of this line of credit was US$600 million and US$125 million, respectively. The average interest rate at December 31, 2008 was 2.049%.	$ 8,123	$ 1,358
Share certificates - The Company issued share certificates (payable upon maturity) to refinance short-term liabilities contracted to acquire certain assets in the western United States. Such issues are structured as follows:		
- Bimbo 02-2- For $750 issued on May 17, 2002, maturing in May 2012, with a fixed interest rate of 10.15% per annum;	750	750
- Bimbo 02-3- For $1,150 issued on August 2, 2002, maturing in August 2009, with a fixed interest rate of 11% per annum;	1,150	1,150
- Bimbo 02-4- For $1,850 issued on August 2, 2002, maturing in August 2008, with a variable interest rate equal to the 182-day CETES plus 0.97%. This issue was paid in full on August 4, 2008.	–	1,850
In May 10, 2007, the Company paid the total amount of the share certificates Bimbo 02, which was issued on May 17, 2002.		
Direct loans - On February 2, 1996, the Company contracted financing of US$140 million, with International Finance Corporation (IFC). On February 15, 2008, the Company paid off the remaining balance of US$11.8 million of this financing.	–	128
Other - Certain subsidiaries have contracted other direct loans, which will be paid from 2008 to 2012, at various interest rates.	1,110	788
	11,133	6,024
Less - Current portion of long-term debt	(2,054)	(2,605)
Long-term debt	$ 9,079	$ 3,419

At December 31, 2008, long-term debt matures as follows:

Year	Amount
2010	$ 8,329
2012	750
	$ 9,079

The loan contracts establish certain covenants and also require that the Company maintain determined financial ratios based on consolidated financial statements. At December 31, 2008 and 2007, the Company had complied with all the obligations established in the loan contracts.

11. DERIVATIVE FINANCIAL INSTRUMENTS

Mexico -

Interest rate hedges - The Company entered into interest rate swaps to modify its debt profile. The derivatives were designated as cash flow hedges and since their inception were assumed to have no ineffectiveness. As of May 2007 they totaled $3,750 and covered 100% of the share certificates recorded as long-term debt described in Note 10.

On March 30 and April 2, 2007, the Company decided to early terminate two interest rate swaps for $500 each, which resulted in a loss of $21 and $20, respectively, that are included in CFC.

On May 10, 2007, the interest rate swap for $2,750 that covered the Bimbo 02 share certificate issue expired.

With respect to the issuance of share certificates for $750, on May 8, 2008 the Company entered into a one-year swap to convert the fixed interest rate to a variable rate of the 28-day TIIE plus 2.43%.

With respect to the first draw on the revolving line of credit in the amount of US$125, on July 23, 2008 the Company entered into a two-year swap to convert the variable interest rate to a fixed rate of 3.82%.

With respect to the second draw on the revolving line of credit in the amount of US$475, on August 5, 2008 the Company entered into a US$50 million interest and exchange rate swap that was to expire in February 2009. The Company decided to early terminate the swap on October 22, 2008, which resulted in a gain of $143 that is included in CFC.

As of December 31, 2008, the operating characteristics and the fair value of the above hedging instruments were as follows:

Swaps that vary share certificate rates

Date of Commencement	Maturity	Notional amount	Interest rate Floating (paid)	Interest rate Fixed (collected)	Fair value
Figures as of December 31, 2008					
May 8, 2008	May 8, 2009	$ 750	11.22%	10.15%	$ 4

Swaps that fix revolving credit line rate

Date of Commencement	Maturity	Notional amount	Interest rate Floating (collected)	Interest rate Fixed (paid)	Fair value
Figures as of December 31, 2008					
July 23, 2008	July 23, 2010	US$ 125 million	4.28%	3.82%	$ (51)

As of December 31, 2008 the fair value of the swaps was recognized as a net liability of $47. As of December 31, 2007, the Company did not hold any swap hedging instruments.

Wheat price hedges - The Company enters into wheat futures contracts to minimize the risk of variation in international prices of wheat, the primary component of the flour that is the main input used by the Company in the manufacture of its products. The transactions are carried out in recognized commodity markets, and through their formal documentation are designated as cash flow hedges of forecasted transactions (wheat purchases).

As of December 2008 and 2007, the characteristics of these hedging instruments were:

Futures contracts to fix the price of wheat

Date of Commencement	Position	Contracts Number	Maturity	Fair value
Figures at December 31, 2008				
September 2008	Long	156	September 2009	$ (12)
October 2008	Long	50	May 2009	1
October 2008	Long	100	September 2009	(7)
October 2008	Long	1,582	December 2009	3
November 2008	Short	50	May 2009	(2)
				$ (17)
Figures at December 31, 2007				
August 2007	Long	6	July 2008	$ 1
September 2007	Long	445	July 2008	56
September 2007	Long	108	September 2008	14
October 2007	Long	14	March 2008	1
October 2007	Long	88	September 2008	8
November 2007	Long	285	March 2008	20
				$ 100

The fair value of the futures contracts at December 31, 2008 totals $(17), which is recognized as a reduction of current assets with charges of $5 to deferred income taxes and $12 to other comprehensive income. The balance of other comprehensive income at December 31 for futures contracts is $(231), which includes closed contracts of $(219) (net of deferred taxes of $85) that have not been transferred to cost of sales due to the fact that the wheat under these contracts has not been used for flour consumption. At December 31, 2007 the fair value was $100, recognized as an asset with a credit to deferred tax liability of $38 and a credit to other comprehensive income for $62. As of December 31, 2007, the closed contracts recognized in other comprehensive income that have not been consumed amounted to $33. It is estimated that the other comprehensive income of futures contracts at December 31, 2008 will be applied to cost of sales during 2009.

Foreign exchange forwards - As of December 31, 2008 the Company had entered into forwards to hedge the cash flows related to foreign currency denominated operating and/or financing liabilities. These instruments cover a notional amount of US$100 million and fix the buy exchange rate at $13.6350 Mexican pesos per U.S. dollar.

Additionally, during September 2008 the Company entered into exchange rate call options, which were designated as hedges of possible exchange rate fluctuations of the U.S. dollar, the foreign currency in which the majority of purchases of wheat flour are made. The covered purchases are for April and May 2009.

Purchase option contracts to fix the purchase price of wheat

Date of Commencement	Date of Maturity	Amount in USD	Contracted exchange rate	Amount	Fair value
September 2, 2008	April 27, 2009	5,000,000	10.7365	$ 53	$ 16
September 8, 2008	April 29, 2009	15,000,000	10.8650	163	50
September 8, 2008	May 27, 2009	15,000,000	10.9050	164	51
					$ 117

As of December 31, 2008 the fair value of the exchange rate call represented a gain of $117, less premiums paid of $9, and the net of $108 is recognized as a current asset, with a credit to deferred taxes of $30 and other comprehensive income of $78.

Embedded derivative instruments - At December 31, 2008 and 2007, the Company does not have any contracts with embedded derivatives.

USA -

Wheat price hedges - To protect itself from risks derived from fluctuations in wheat commodity prices, the Company uses futures contracts on a selective basis. Fluctuations in the value of derivative financial instruments, stated at fair value, are recognized in results of operations for the year, net of the costs and expenses derived from the assets whose risks are being hedged.

During 2008 and 2007, BBU entered into derivative financial transactions intended to cover increases in the price of wheat for bread-making, which generated gains of $66 and $43, respectively. These effects were recognized in results of each year within cost of sales.

Futures contracts to fix the price of wheat are as follows:

Date of Commencement	Position	Contracts Number	Maturity	Fair value
Figures at December 31, 2008				
September 2008	Long	90	May 2009	(8)
October 2008	Long	25	March 2009	$ 1
October 2008	Long	290	May 2009	(4)
October 2008	Long	160	July 2009	3
November 2008	Long	55	March 2009	2
November 2008	Long	30	May 2009	1
November 2008	Long	40	July 2009	2
November 2008	Long	92	December 2009	4
December 2008	Long	70	May 2009	4
December 2008	Long	100	July 2009	7
December 2008	Long	88	December 2009	6
				$ 18
Figures at December 31, 2007				
November 2007	Long	93	March 2008	$ 5
December 2007	Long	75	March 2008	(1)
				$ 4

OLA -

Wheat price hedges - To protect itself from risks derived from fluctuations in wheat commodity prices, the Company uses futures contracts on a selective basis. Fluctuations in the value of derivative financial instruments, stated at fair value, are recognized in results of operations for the year, net of the costs and expenses derived from the assets whose risks are being hedged.

Futures contracts to fix the purchase price of wheat are as follows:

Date of Commencement	Position	Contracts Number	Maturity	Fair value
Figures at December 31, 2008				
September 2008	Long	18	March 2009	$ (0.1)
October 2008	Long	6	March 2009	–
October 2008	Long	73	May 2009	(0.2)
October 2008	Long	60	July 2009	0.1
October 2008	Long	60	September 2009	0.2
November 2008	Long	57	March 2009	0.1
				$ 0.1

The other comprehensive income of OLA at December 31, 2008 includes $(10), which corresponds to closed contracts in OLA that have not been transferred to cost of sales due to the fact that the wheat under these contracts has not been used for flour consumption.

12. EMPLOYEE RETIREMENT BENEFITS AND WORKERS' COMPENSATION

a. Mexico - The Company has defined benefit pension, seniority premium and severance indemnity plans. Seniority premiums consist of a one-time payment of 12 days for each year worked based on the final salary, not exceeding double the minimum wage established by law for all its personnel, as stipulated in the respective employment contracts. The related liability and annual benefits costs are calculated by an independent actuary in conformity with the bases defined in the plans, using the projected unit credit method.

The present value of these obligations and the rates used in the calculation are as follows:

	2008	2007
Vested benefit obligation	**$ (479)**	$ (3,658)
Defined benefit obligation	**$ (4,853)**	$ (4,498)
Plan assets (fund in trust)	**3,753**	4,256
Unfunded status	**(1,100)**	(242)
Items to be amortized:		
Unamortized actuarial losses	**726**	–
Transition asset	**(344)**	(430)
Past service costs and changes to the plan	**(39)**	(9)
Variances in assumptions and adjustments for experience	**–**	349
Unamortized past services for changes in methodology	**29**	–
Total items to be amortized	**372**	90
Net projected (liability)	**(728)**	(332)
Additional liability	**–**	(12)
Total liability recognized	**$ (728)**	$ (344)

Net period costs are as follows:

	2008	2007
Cost of services for the year	**$ 277**	$ 251
Amortization of transition asset	**(86)**	(29)
Amortization of past services and changes to the plan, variances in assumptions and adjustments for experience	**1**	(2)
Actuarial loss	**206**	–
Cost of financing for the year	**363**	187
Less – yield on fund assets	**(365)**	(208)
Net cost of the period	**$ 396**	$ 199

The present value of the obligation for severance indemnities is as follows:

	2008	2007
Vested benefit obligation	$ –	$ (293)
Defined benefit obligation	$ (216)	$ (312)
Plan assets (fund in trust)	–	–
Unfunded status	(216)	(312)
Items to be amortized:		
Past service costs and changes to the plan	(102)	(127)
Transition asset	319	398
Variances in assumptions and adjustments for experience	–	35
Total items to be amortized	217	306
Net projected (liability) asset	1	(6)
Additional liability	–	(286)
Total asset (liability) recognized	$ 1	$ (292)

The net period costs are as follows:

	2008	2007
Cost of services for the year	$ 24	$ 38
Amortization of transition asset	80	(5)
Amortization of past services and changes to the plan, variances in assumptions and adjustments for experience	(26)	–
Actuarial gain	(74)	–
Cost of financing for the year	15	12
Net cost of the period	$ 19	$ 45

The interest rates used in the actuarial calculations were:

	2008 Nominal	2007 Real
Discount of projected benefit obligation at present value	8.16%	4.50%
Wage increase	5.05%	1.50%
Yield on plan assets	8.67%	5.00%

Unamortized items related to retirement benefits are charged to results based on the average remaining service lives of employees expected to receive benefits, which is 30 years.

Unamortized items related to severance indemnities are charged to results over a period of five years.

b. USA - The Company has established defined benefit pension plans ("the Pension Plans") that cover eligible employees. The Company's funding policy is to make discretionary annual contributions. During 2008 and 2007, the Company made contributions to the Pension Plans of $115 and $124, respectively. Effective January 1, 2005, certain benefit plans were frozen for certain nonunion employees.

The following table sets forth the funded status and amounts recognized for the Pension Plans and the workers' compensation liability in the consolidated balance sheets as of December 31, 2008 and 2007:

	2008	2007
Vested benefit obligation	$ (142)	$ (1,376)
Defined benefit obligation	$ (2,248)	$ (1,631)
Plan assets	1,154	1,254
Unfunded status	(1,094)	(377)
Items to be amortized:		
Actuarial loss	1,423	–
Past service costs and plan modifications	(118)	537
Total items to be amortized	1,305	537
Net projected asset	211	160
Additional liability	–	(282)
	211	(122)
Workers' compensation	(466)	(341)
Total liability recognized	$ (255)	$ (463)

Net pension cost includes the following components:

	2008	2007
Cost of services for the year	$ 73	$ 53
Amortization of past services and changes to the plan, variances in assumptions and adjustments for experience	30	25
Financing cost of the year	120	45
Less – Return on plan assets	(120)	(55)
Net cost of the period	$ 103	$ 68

Following is a summary of significant actuarial assumptions used:

	2008 Nominal	2007 Real
Weighted average discount rates	6%	3.11%
Rates of increase in compensation levels	3.75%	1.00%
Expected long-term rate of return on plan assets	7.5%	4.57%

c. Other countries - At December 31, 2008 and 2007, the liability for employee retirement benefits in other countries is not significant.

13. STOCKHOLDERS' EQUITY

a. At December 31, 2008, stockholders' equity consists of the following:

	Number of shares	Par value	Restatement / translation effect	Total
Fixed capital				
Series "A"	1,175,800,000	$ 1,902	$ 6,104	$ 8,006
Series "B"	–	–	–	–
Total	**1,175,800,000**	**$ 1,902**	**$ 6,104**	**$ 8,006**
Reserve for repurchase of shares		600	159	759
Retained earnings		16,597	7,876	24,473
Other items of accumulated other comprehensive income		–	1,189	1,189
Valuation of financial instruments		(163)	–	(163)
Minority interest in consolidated subsidiaries		577	133	710
Total		**$ 19,513**	**$ 15,461**	**$ 34,974**

Capital stock is fully subscribed and paid and represents fixed capital. Variable capital cannot exceed 10 times the amount of minimum fixed capital without right of withdrawal and must be represented by Series "B", ordinary, nominative, no-par shares and/or limited voting, nominative, no-par shares of the Series to be named when they are issued. Limited voting shares cannot represent more than 25% of non-voting capital stock.

b. Dividends paid in 2008 and 2007 were:

Approved at the stockholders' meeting of:	Mexican pesos per share	Total par value	Value at December 31, **2008**
April 9, 2008	$ 0.46	$ 541	**$ 541**
April 19, 2007	$ 0.40	$ 470	**$ 483**

c. Retained earnings include the statutory legal reserve. Mexican General Corporate Law requires that at least 5% of net income of the year be transferred to the legal reserve until the reserve equals 20% of capital stock at par value (historical pesos). The legal reserve may be capitalized but may not be distributed unless the entity is dissolved. The legal reserve must be replenished if it is reduced for any reason. At December 31, 2008 and 2007, the legal reserve, in historical pesos, was $500.

d. Stockholders' equity, except restated paid-in capital and tax retained earnings, will be subject to income taxes payable by the Company at the rate in effect upon distribution. Any tax paid on such distribution may be credited against annual and estimated income taxes of the year in which the tax on dividends is paid and the following two fiscal years.

e. The balances in the stockholders' equity tax accounts at December 31 are:

	2008	2007
Paid-in capital	**$ 7,843**	$ 7,363
Net after-tax income	**27,522**	22,629
Total	**$ 35,365**	$ 29,992

14. FOREIGN CURRENCY BALANCES AND TRANSACTIONS

a. At December 31, 2008 and 2007, the foreign currency monetary position in millions of US dollars, for the Mexican entities only, is as follows:

	2008	2007
Current assets	**437**	86
Liabilities-		
Short term	**(47)**	(13)
Long term	**(600)**	(125)
Total liabilities	**(647)**	(138)
Liability position, net	**(210)**	(52)
Mexican peso equivalent	**$ (2,843)**	$ (565)

b. The Company has significant operations in the USA and OLA as indicated in Note 16.

c. The transactions in millions of US dollars, for the Mexican entities only, after elimination of the transactions between consolidated subsidiaries, were as follows:

	2008	2007
Export sales (do not include $169 and $168, related to exports to consolidated subsidiaries in 2008 and 2007, respectively)	13	15
Import purchases of raw materials	91	69
Purchases of fixed assets from foreign countries	30	31

d. The exchange rates in effect at the dates of the balance sheets and of issuance of these financial statements, respectively, were as follows:

	December 31,		March 12,
	2008	2007	2009
Pesos per one US dollar	13.5383	10.8662	15.1145

15. TRANSACTIONS AND BALANCES WITH RELATED PARTIES

a. Transactions with related parties, carried out in the ordinary course of business, were as follows:

	2008	2007
Expenses:		
Purchases of:		
Raw materials	$ 5,158	$ 4,101
Finished products	$ 769	$ 262
Supplies, uniforms and other	$ 473	$ 445

b. The net balances due to related parties are:

	2008	2007
Beta San Miguel, S. A. de C. V.	$ 74	$ 96
Efform, S. A. de C. V.	23	8
Frexport, S. A. de C. V.	41	37
Grupo Altex, S. A. de C. V.	229	200
Industrial Molinera Montserrat, S. A. de C. V.	32	25
Industrial Molinera San Vicente de Paul, S. A. de C. V.	19	15
Makymat, S. A. de C. V.	8	5
Ovoplus del Centro, S. A. de C. V.	30	24
Pan-Glo de México, S. de R. L. de C. V.	4	3
Paniplus, S. A. de C. V.	27	16
Proarce, S. A. de C. V.	36	18
Grupo La Moderna, S. A. de C. V.	11	10
Mundo Dulce, S. A. de C. V.	39	–
Uniformes y Equipo Industrial, S. A. de C. V.	11	13
	$ 584	$ 470

c. Employee benefits granted to Company key management were as follows:

	2008	2007
Short and long-term direct benefits	$ 264	$ 219
Share-based payments	27	12
Severance benefits	356	358

16. TAX ENVIRONMENT

Income taxes in Mexico

In accordance with Mexican tax law, the Company is subject to ISR, and through 2007, to a Tax an Assets ("IMPAC"). ISR is computed taking into consideration the taxable and deductible effects of inflation, such as depreciation calculated on restated asset values. Taxable income is increased or reduced by the effects of inflation on certain monetary assets and liabilities through the inflationary component, which is similar to the gain or loss from monetary position. Due to changes in the tax legislation, effective January 1, 2007, the ISR rate is 28%. For 2007 the Company obtained a tax credit equivalent to 0.25% of taxable income for all entities filing statutory tax reports and meeting certain requirements.

In 2007, IMPAC was calculated by applying 1.25% to the value of the assets of the year, without deducting any debt amounts. IMPAC was payable only to the extent that it exceeded ISR payable for the same period.

On October 1, 2007, the Business Flat Tax Law ("LIETU") was enacted and went into effect on January 1, 2008. In addition, the Tax Benefits Decree and the Third Omnibus Tax Bill were published on November 5 and December 31, 2007, respectively. On May 27, 2008 another resolution was passed and is effective in May 2009 clarifying or expanding the transitory application of the law regarding transactions carried out in 2007 that will have an impact in 2008. IETU applies to the sale of goods, the provision of independent services and the granting of use or enjoyment of goods, according to the terms of the LIETU, less certain authorized deductions. IETU payable is calculated by subtracting certain tax credits from the tax determined. Revenues, as well as deductions and certain tax credits, are determined based on cash flows generated beginning January 1, 2008. LIETU establishes that the IETU rate will be 16.5% in 2008, 17% in 2009, and 17.5% as of 2010. The Asset Tax Law was repealed upon enactment of LIETU; however, under certain circumstances, IMPAC paid in the ten years prior to the year in which ISR is paid, may be refunded, according to the terms of the law. In addition, as opposed to ISR, the parent and its subsidiaries will incur IETU on an individual basis.

Based on its financial projections, the Company determined that some of its Mexican subsidiaries will pay ISR in certain fiscal years, while in others, they will pay IETU. Accordingly, the Company calculated both deferred ISR and deferred IETU and recognized the larger of the two liabilities in each subsidiary. The recording of the initial deferred IETU liability resulted in a charge to income taxes for $114 in the statement of income of 2007.

In its other subsidiaries, based on its financial projections the Company determined that they will basically pay only ISR. Therefore, the enactment of IETU did not have any effects on the financial information for these subsidiaries, since they continue to recognize deferred ISR.

With respect to 2008, a current provision for IETU of $212 was incurred.

Grupo Bimbo, S. A. B. de C. V. is subject to ISR and, through 2007, IMPAC, together with its Mexican subsidiaries, on a consolidated basis, in the proportion held of the voting stock of its subsidiaries at year-end.

Income taxes in other countries

The foreign subsidiaries calculate income taxes on their individual results, in accordance with the regulations of each country. The subsidiaries in the USA have authorization to file a consolidated income tax return.

The tax rates applicable in other countries where the Company operates and the period in which tax losses may be applied, are as follows:

	Statutory Income Tax Rate (%)		Period of
	2008	2007	expiration
Austria	**25.0**	25.0	(a)
Argentina	**35.0**	35.0	(b) 5
Brazil	**34.0**	34.0	(c)
Colombia	**33.0**	34.0	(d)
Costa Rica	**30.0**	30.0	3
Chile	**17.0**	17.0	(e)
China	**25.0**	(f) 33.0	5
El Salvador	**25.0**	25.0	(g)
Spain	**30.0**	32.5	15
USA	**(h) 35.0**	(h) 35.0	20
Guatemala	**(i) 31.0**	(i) 31.0	(g)
Honduras	**(j) 25.0**	(j) 25.0	(k)
Hungary	**16.0**	16.0	(e)
Nicaragua	**30.0**	30.0	3
Paraguay	**10.0**	(l) 10.0	(k)
Peru	**30.0**	30.0	(m)
Czech Republic	**21.0**	24.0	(n)
Uruguay	**25.0**	30.0	(o)
Venezuela	**34.0**	34.0	(p)

(a) Losses generated after 1990 may be applied indefinitely but can only be offset each year up to an amount equal to 75% of the net taxable profit for the year.

(b) Tax losses from sale of share or other equity investments, can only be offset against income of the same nature. Same for the loss of derivatives. Foreign source tax losses can only be amortized with income from foreign sources.

(c) Tax losses may be applied indefinitely, but may only be offset each year up to an amount equivalent to 30% of the net taxable profit for the year.

(d) Tax losses in 2002 may be amortized within 5 years with no limit on the value or amount to be amortized in each year. Tax losses generated in 2003, 2004, 2005 and 2006 may be amortized within the following 8 years, but can only be up to 25% of the income tax of each year. Since 2007, tax losses may be unlimited amortized with no limit on the value and unlimited in time.

(e) No expiration date.

(f) 30% is federal tax and 3% local tax.

(g) Operational losses cannot be amortized and capital losses can only be amortized against capital gains in the following 5 years that the loss was generated.

(h) To this percentage should be added a percentage of state tax, which varies in each state of USA. The weighted average statutory rate for 2008 and 2007 was 38.3% and 38.2% respectively.

(i) The general scheme is 5% but the tax base is calculated as follows: Total gross income less non taxable income. The optional scheme has a rate of 31% but the tax basis is different: Net income less nontaxable income plus nondeductible expenses less other deductions.

(j) It is a flat tax, and in case of a taxable income greater than 1 million Lempiras an additional 5% must be paid.

(k) Cannot be amortized.

(l) Operations in Paraguay began in 2007.

(m) There are 2 alternatives allowed: 1) 4 years or 2) unlimited amortization up to 50% of the value of each year. Made a choice, it cannot be changed, until the accumulated losses of previous years are applied.

(n) Tax losses generated since 2004 can be amortized in the following 5 years. Tax losses prior to 2004 in the following 7 years.

(o) Tax losses generated after 2007 can be amortized in the following 5 years. Prior to 2007 only until the following 3 years.

(p) Based on their nature can change the amortization period: 1) Operating losses, following 3 years, 2) Losses from the adjustment for inflation tax, 1 years; 3) Overseas, which can only be amortized to earnings from abroad, following 3 years and 4) Losses from jurisdictions with preferential tax regulations only applied to profits in such jurisdictions, following 3 years.

Operations in Argentina, Colombia, Guatemala and Nicaragua are subject to minimum payments of income tax or tax measured on assets.

Operations in Brazil are subject to profit sharing payments according to certain rules based on accounting income. During 2008 and 2007, there were no profit sharing payments in that country.

Detail of provisions, effective rate and deferred effects

a. Consolidated taxes on income are as follows:

	2008	2007
ISR:		
Current	$ 1,887	$ 1,692
Deferred	(246)	119
	1,641	1,811
IETU:		
Current	212	–
Deferred	41	114
	253	114
	$ 1,894	$ 1,925

b. The reconciliation of the statutory and effective ISR rates expressed as a percentage of income before taxes on income is:

	%	
	2008	2007
Statutory rate in Mexico	28.0	28.0
Inflationary effects in the income statement and monetary balance sheet accounts	2.0	(0.6)
Nondeductible expenses, nontaxable revenues and others	(1.5)	3.0
Difference in rates and currency of subsidiaries in different tax jurisdictions	(0.10)	1.2
Inflationary tax effect of fixed assets	(2.5)	–
IETU	4.0	2.0
Change in valuation allowance for tax loss carryforwards	–	(0.7)
Effective rate	29.9	32.9

The main items originating a deferred ISR asset (liability) are:

	2008	2007
Advances from customers	$ (12)	$ (17)
Allowance for doubtful accounts	(37)	(36)
Inventories	26	85
Property, plant, equipment and intangibles	2,773	2,877
Other investments	(131)	(265)
Other reserves	(884)	(796)
Current and deferred PTU	(244)	(139)
Tax loss carryforwards	(2,237)	(2,040)
Valuation allowance of tax loss carryforwards	580	580
Recoverable tax on assets	–	(198)
IETU	201	114
Effect of translation	(221)	–
Other items	26	46
Total (asset) liability, net	$ (160)	$ 211

The net deferred income tax asset has not been offset in the accompanying consolidated balance sheet as they result from different taxable entities and tax authorities. Gross amounts are as follows:

	2008	2007
Deferred income tax asset	$ (1,417)	$ (1,078)
Deferred income tax liability	1,257	1,289
Total (asset) liability, net	$ (160)	$ 211

c. Since the Company's tax losses are mainly derived from its transactions with USA and different countries of the OLA, certain tax losses will not be recoverable before their expiration date. Consequently, the Company has recognized a valuation allowance for a portion of such losses.

d. Tax loss carryforwards for which the deferred ISR asset have been recorded, can be recovered subject to certain conditions. Tax losses generated in countries and expiration dates are:

Years	Amount
2009	$ 84
2010	32
2011	132
2012	135
2013	10
2014 and thereafter	6,549
Total	$ 6,942

17. COMMITMENTS

Guarantees and/or guarantors

a. At December 31, 2008, Grupo Bimbo, S. A. B. de C. V. and certain subsidiary companies have guaranteed bonded issued letters of credit to guarantee commercial obligations and contingent risks related to the labor obligations of certain subsidiaries. The value of such letters of credit, added to those issued to guarantee certain third-party obligations, derived from long-term supply contracts signed by the Company, totals US$59.5 million, of which a liability of US$34.4 million has already been recorded for employment benefits in the USA.

b. The Company has guaranteed certain contingent obligations of associated companies for the amount of US$48 million. Similarly, the Company has issued guarantees for third party obligations derived from the sale of assets in prior years, for the amount of US$14 million.

Leasing commitment

a. The Company has long-term commitments under operating leases, principally for the facilities used to produce, distribute and sell its products. These commitments vary from 3 to 14 years, with a renewal option of between one and five years. Certain leases require the Company to pay all related expenses, such as taxes, maintenance and insurance for the term of the contracts. The total amount of lease commitments is as follows:

Year	Amount
2009	$ 730
2010	520
2011	394
2012	287
2013	222
2014 and thereafter	605
Total	$ 2,758

18. INFORMATION BY GEOGRAPHICAL AREA

The following is the principal data by geographical area in which the Company operates for the years ended December 31, 2008 and 2007:

	Mexico	USA	OLA	Consolidation eliminations	**Total**
2008					
Net sales	$ 54,845	$ 18,049	11,346	$ (1,923)	**$ 82,317**
Income after general expenses	$ 6,854	$ 124	$ 431	$ (81)	**$ 7,328**
Majority net income	$ 4,358	$ 141	$ 57	$ (236)	**$ 4,320**
Depreciation and amortization	$ 1,650	$ 415	$ 436	$ –	**$ 2,501**
Income after general expenses, plus depreciation and amortization (EBITDA)	$ 8,504	$ 539	$ 867	$ (81)	**$ 9,829**
Total assets	$ 36,529	$ 14,221	$ 11,360	$ (3,604)	**$ 58,506**
Total liabilities	$ 23,263	$ 1,988	$ 3,052	$ (4,771)	**$ 23,532**
2007					
Net sales	$ 49,713	$ 16,565	$ 7,600	$ (1,584)	$ 72,294
Income after general expenses	$ 5,892	$ 206	$ 267	$ 43	$ 6,408
Majority net income	$ 3,372	$ 333	$ 89	$ 17	$ 3,811
Depreciation and amortization	$ 1,558	$ 353	$ 328	$ –	$ 2,239
Income after general expenses, plus depreciation and amortization (EBITDA)	$ 7,450	$ 559	$ 595	$ 43	$ 8,647
Total assets	$ 29,554	$ 11,791	$ 6,524	$ (2,626)	$ 45,243
Total liabilities	$ 16,614	$ 2,069	$ 2,189	$ (4,126)	$ 16,746

19. NEW ACCOUNTING PRINCIPLES

In 2008, CINIF issued the following NIFs, which became effective for fiscal years beginning on January 1, 2009:

NIF B-7, Business Acquisitions

NIF B-8, Consolidated or Combined Financial Statements

NIF C-7, Investments in Associates and Other Permanent Investments

NIF C-8, Intangible Assets

NIF D-8, Share-Based Payments

The main changes established in the recently issued NIFs are as follows:

NIF B-7, Business Acquisitions, requires fair value measurement of the noncontrolling interest (previously minority interest) as of the acquisition date and recognition of the overall goodwill at fair value. NIF B-7 establishes that acquisition costs should not be part of the consideration paid and restructuring costs should not be recognized as an assumed liability from the acquisition.

NIF B-8, Consolidated and Combined Financial Statements, establishes that special purpose entities, over which control is exercised, should be consolidated. Provided certain requirements are met, it allows the option to present stand-alone financial statements of intermediate controlling companies and requires that potential voting rights be considered to analyze whether control exists.

NIF C-7, Investments in Associated Companies and other Permanent Investments, requires that investments in special purpose entities where significant influence is exercised be valued using the equity method. It also requires that potential voting rights be considered to analyze whether significant influence exists. In addition, NIF C-7 establishes a specific procedure and sets caps to the recognition of losses in associated companies, and requires that investments in associated companies be presented including the related goodwill.

NIF C-8, Intangible Assets, requires that unamortized preoperating costs as of December 31, 2008, be cancelled against retained earnings.

NIF D-8, Share-Based Payments sets the rules for recognition of share-based payments (at fair value of goods received or at fair value of equity instruments granted), including the granting of stock options to employees. Therefore, the use of IFRS 2, Share-Based Payments, that was supplementally applied is discontinued.

20. EVENTS SUBSEQUENT TO THE DATE OF THE FINANCIAL STATEMENTS

On January 21, 2009, Grupo Bimbo, S. A. B. de C. V. acquired 100% of the common stock of Weston Foods, Inc. (WFI), an entity incorporated in the USA and engaged in the production of bread and cakes in the western USA.

The acquisition includes a portfolio of leading trademarks in the categories of bread, roles, muffins, bagels and sweetbread, comprised principally of the brands Arnold, Boboli, Brownberry, Entenmann's and Thomas, as well as 22 plants and more than 4,000 distribution routes. The amount of the transaction was US$2,505 million. To finance this acquisition, the Company has obtained financing for US$2,300 million that was structured with a one-year bridge loan of US$600 million and a long-term loan of US$1,700 million, comprised of US$900 and US$800 million maturing in three and five years, respectively. The remainder of the purchase price of US$205 million was paid with existing funds.

The business of WFI will geographically and commercially complement the existing operations that Grupo Bimbo has in that country and will create a national platform that will allow strengthening its business relationships with national supermarket chains. The integration of WFI's distribution model will allow the Company to expand its business into markets in which it currently has no presence and accelerate the penetration of its Spanish brands. This acquisition strengthens the Company's global growth strategy by creating a solid platform that will allow long-term revenue and profitability growth. Fair value of the assets and liabilities acquired will be determined and assigned in 2009, so final balances of goodwill and other intangibles resulting from this acquisition will be determined once such fair values are totally assigned.

21. INTERNATIONAL FINANCIAL REPORTING STANDARDS

In January 2009, the Mexican National Banking and Securities Commission published changes to the Issuers Official Bulletin to establish that beginning in 2012 all listed companies in Mexico will have to file their financial information under International Financial Reporting Standards, with early adoption allowed.

22. FINANCIAL STATEMENT ISSUANCE AUTHORIZATION

The issuance of the consolidated financial statements was authorized by Lic. Daniel Servitje Montull, Chief Executive Officer and the Board of Directors of the Company on March 12, 2009. These consolidated financial statements are subject to the shareholders approval at the General Stockholders' meeting, who may modify the financial statements, based on provisions set forth by the General Corporate Law.

WEBSITE
http://ir.grupobimbo.com



BIMBO



OCHO AÑOS

INVESTOR RELATIONS

Armando Giner
Phone: (52 55) 5268 6924
Fax: (52 55) 5268 6697
aginer@grupobimbo.com

Andrea Amozurrutia
Phone: (52 55) 5268 6962
Fax: (52 55) 5268 6697
aamozurrutia@grupobimbo.com

Fabiola Medina
Phone: (52 55) 5268 6552
Fax: (52 55) 5268 6697
fmedina@grupobimbo.com

Design: milenio3.com.mx Printing: Earthcolor Houston

CORPORATE WEBSITE
www.grupobimbo.com

INSTITUTIONAL RELATIONS

Martha Eugenia Hernández
Phone: (52 55) 5268 6780
Fax: (52 55) 5268 6833
mhernmor@grupobimbo.com

Mónica Bretón
Phone: (52 55) 5268 6585
Fax: (52 55) 5268 6833
mbretsal@grupobimbo.com





www.grupobimbo.com

Prolongación Paseo de la Reforma No. 1000
Col. Peña Blanca Santa Fé
Delegación Álvaro Obregón
México D.F., 01210
Tel: (5255) 5268.6600





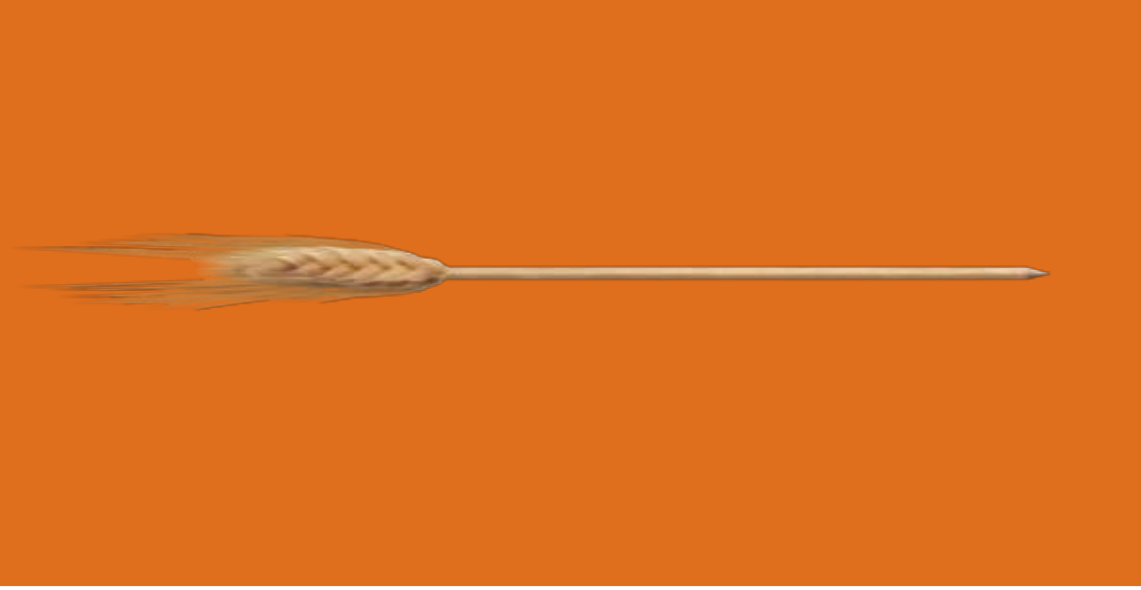
FOCUS ON YOU





GRUPO BIMBO

08 SOCIAL RESPONSIBILITY REPORT



COMPANY PROFILE

At Grupo Bimbo we are actively engaged in helping society deal with the challenges it faces through our Social Responsibility Program. This Program's four lines of action are:

- Committed to your Health.
- Committed to the Environment.
- Committed to Our Associates.
- Committed to Our Community.

Through these commitments we promote a healthy lifestyle and we seek to increasingly offer better products, minimize the environmental impact of our processes and services, facilitate the full development of our associates and contribute to the overall well-being of our society.

RECOGNITIONS IN 2008

- 6 Grupo Bimbo Corporate Recognitions: ESR (Socially Responsible Company Distinctive), granted by the Mexican Center for Philanthropy (CEMEFI in Spanish); Leading Companies 2008; Reputation Institute (9th place worldwide); Information Week - Top 50 Most Innovative Companies; America Economía Award; World Award - 50 Most Socially Responsible Companies.
- 5 Federal Clean Industry Certificates to the following plants: Bimbo Mexicali, Hermosillo, Veracruz, Villahermosa and Tia Rosa.
- 2 State Clean Industry Certificates to the following plants: Haz Pan and Bimbo Irapuato.
- 2 National Quality Awards granted to the following plants: Bimbo Azcapotzalco and Bimbo Santa María.
- 4 State Quality Awards granted to the following plants: Bimbo San Luis Potosí, Ricolino San Luis Potosí, Barcel Atitalaquia and Barcel Yucatán.
- Costa Rica's CADEXCO Award as a top exporter in Central America.
- Peru's 2008 Cleanest Production and Eco Efficiency Award.

CONTENTS

Message from the CEO	1
Committed to Your Health	2
Committed to the Environment	4
Committed to Our Associates	6
Committed to Our Community	8



MESSAGE FROM THE CEO

Dear Friends,

Since our beginning we have assumed with full conviction, values and specific actions that guide the projects and goals of Grupo Bimbo, in accordance with the responsibility we have towards our consumers, clients, stockholders, associates, distributors and to society in general. The main results achieved with each of the four programs during 2008 are as follows:

COMMITTED TO YOUR HEALTH

In a letter addressed to Dr. Margaret Chan, CEO of the World Health Organization (WHO), we formally committed to align our Health and Nutrition Program with the WHO Strategy on Diet, Physical Activity and Health, to offer people new products that promote healthy lifestyles.

COMMITTED TO THE ENVIRONMENT

We became the first company in Latin America to use a technology known as oxodegradable in our packaging, which significantly shortens degradation time when compared to conventional plastic, without affecting the quality or the price of our products.

COMMITTED TO OUR ASSOCIATES

We seek the overall development and well-being of our associates and their families, the spirit of participation in projects that promote teamwork, sharing and social benefit. Among other activities, and through our non-profit organization, Reforestamos México, during National Reforestation Day in Mexico, 6,000 volunteers - associates and their families - participated in the largest reforestation campaign in our country and planted more than 50 thousand trees in the Mazahua Area (State of Mexico).

COMMITTED TO OUR COMMUNITY

We support civil society projects through programs and practices that respect the environment and consider the full development of current and future generations.

All of these actions have earned us the Socially Responsible Company Distinctive, granted by the Mexican Center for Philanthropy (CEMEFI) for the 8th. consecutive year.

We remain focused in the needs of our environment and in the endless search for the well-being of the people.



Daniel Servitje
Chief Executive Officer
Grupo Bimbo



HEALTH

At Grupo Bimbo, we are committed since our beginning to provide the consumer with only those products manufactured with the highest standards of quality. In 2003 we structured the program Committed to your Health which integrates the initiatives focused on the well-being of the population, in 2004 we aligned ourselves to the WHO Global Strategy on Diet, Physical Activity and Health and we formalized our commitment in 2008.

Our progress covers 5 action areas:

PRODUCTS: REFORMULATION AND INNOVATION

a) Reduction of trans-fatty acids, sugar and salt.

b) Standard Portions: Since 2006 we made available to the public products with less than 100 calories and mini-portions.

c) Launching of fortified functional products that include foods that contain oats, flax seed, soluble pre-biotic fibers, phytosterols and soy bean.

NUTRITION INFORMATION TO CONSUMERS

We offer easy access to understandable information to consumers, with clear and more legible labels.

RESPONSIBLE MARKETING AND ADVERTISING

Along with 26 other companies, we signed the Mexican Code of Food and Beverage Advertising to Children (Code PABI), with the purpose of promoting a socially responsible publicity addressing children.

PROMOTION OF PHYSICAL ACTIVITY AND HEALTHY LIFESTYLES

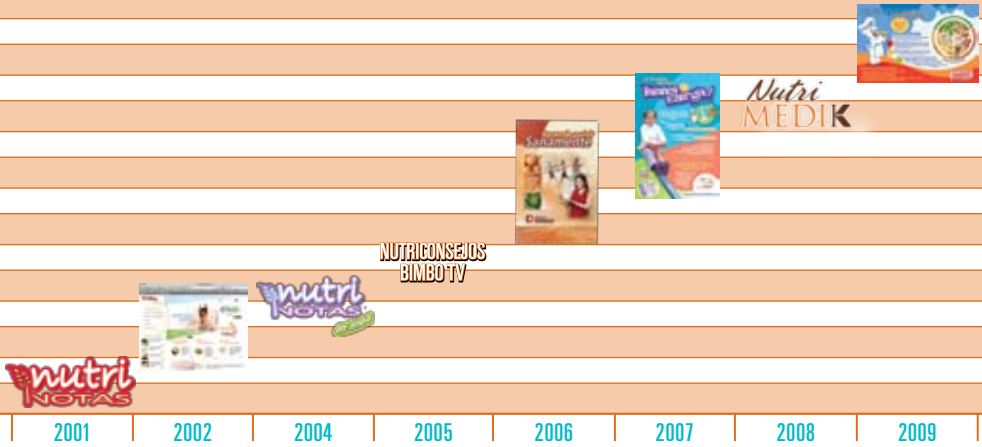
Through advertising, packaging, web sites, publications, consumer reports and promotion of activities, we strive to contribute to the improvement of the quality of life of our consumers. In addition, since 2007 we have inserted the phrase "Fill yourself with energy with 30 minutes of exercise a day" in all of our packaging and advertising.

Futbolito Bimbo Soccer Tournament. This competition contributes to the overall development of children. In 2008 we held talks on the topics of Health and Nutrition directed to parents.

PARTNERSHIPS

In 2008 Bimbo joined forces with Lala and Pfizer to establish the Alliance for the Heart program to provide society with tools that improve well-being. Over 240,000 health assessments and diet plans were completed. We also participated in Alliance for a Healthy Lifestyle, where we promoted healthy lifestyle habits among the national population.

Innovation and Nutrition Institutes. In 2008, we inaugurated four Innovation and Nutrition Institutes, in those regions where we have presence: Barcel Lerma Plant and the Marinela Plant (expansion) in Mexico; at the Fort Worth Plant in the USA, and at our Sao Paulo Plant in Brazil. The objective is to transform scientific



- Quarterly publication "Nutrinotas".
- Health and Nutrition Web Site: www.nutriciongrupobimbo.com
- Monthly publication "Nutrinotas en Línea".
- TV spots "Nutriconsejos Bimbo".
- Publication of the Book "Aprende a Vivir Sanamente".
- Educational material about Health and Nutrition for Public and Private Schools.
- Specialized publication about Health and Nutrition for Health Professionals "Nutrimedik".
- Educational Material for School Visitors to Our Plants.

advances into practical applications, to be able to offer new and better products to our consumers, in addition to solidifying relationships with the most important centers, institutions and universities in the Americas.

We also contributed to health related projects in Mexico by supporting the Mexican Red Cross, Casa de la Amistad para Niños con Cáncer, Fundación para los Niños de las Californias, Asociación Mexicana de Lucha contra el Cáncer and Fundación EUDES among others, and other projects in Guatemala, Costa Rica and Uruguay.

In the United States, by working with the Grain Foods Foundation and March of Dimes, we contributed to the prevention of congenital diseases, premature birth and infant deaths, we also supported the Juvenile Diabetes Research Fund in their research to find a cure and prevent diabetes; we held the Pass the Bread campaign donating bread to Texas food banks in celebration of the first 100 years of our Mrs Baird's brand and sponsored the Fort Worth Marathon. In addition, our Oroweat brand extended its U.S. Olympic Team partnership as the official bread for the U.S. Olympic Team.



MORE THAN 40,000

Mexican girls and boys participated in the Futbolito Bimbo Soccer Tournament.

"FILL YOURSELF WITH ENERGY WITH 30 MINUTES OF EXERCISE A DAY" IS THE SLOGAN THAT WAS INCLUDED IN OUR PACKAGING AND MARKETING MESSAGES. IN 2008, WE TRANSMITTED 23,000 COMMERCIAL SPOTS WITH THIS HEALTHY ADVICE - 5,000 MORE THAN THE PREVIOUS YEAR.





ENVIRONMENT

Since our company started, we have participated in a decisive manner in the care and conservation of the environment with specific actions that reduce the consumption of water in our facilities and by taking part in the research and implementation of technologies to lessen the environmental footprint of our processes.

This dedication to the environment was institutionalized and standardized in our Committed to the Environment program, in 2008 we worked in more than 20 projects in 5 lines of action which include nearly 80 good practices in over 850 individual tasks.

SAVING ENERGY

This project allowed us to decrease our energy consumption by 5% compared to 2007, which is equivalent to the amount consumed by 65,000 households during a year.

In this same period we reduced our consumption of thermal energy by 6.3%. Likewise, our transport fleet increased the efficiency per kilometer by 5.4%, an action that translated into a reduction of more than 6 million and one thousand liters of fuel.

REDUCING EMISSIONS

Thanks to the impact of our energy conservation program, we reduced our CO_2 atmospheric emissions by 4%, thereby solidifying our commitment and disposition to follow the agreement between Mexico and the Kyoto Protocol.

SAVING WATER

Our consumption of water was 9% lower by comparison to 2007. This is comparable to the consumption of one million 5-gallon water containers per month. In addition, we increased the amount of reusable water for auxiliary services by 33% versus 2007.

SOLID WASTE MANAGEMENT

Our commitment is evident in the research and creation of packaging materials that minimize the impact on the environment. Thanks to this initiative, along with 2 CONACYT research centers in Mexico (CIQA and CIBNOR), we began using oxodegradable plastics technology "d2w", which offers a significantly reduced degradation period of 3 to 5 years, compared to conventional plastic materials that may take more than 100 years. This technological innovation maintains the quality of our product intact without affecting prices.

COMPANY'S SOCIAL RESPONSIBILITY TO THE ENVIRONMENT

With the purpose of promoting an environmental culture in the Company, we invited our associates and suppliers to share in our actions in benefit of the environment through training and media communication campaigns.

As a company, we implemented environmentally friendly construction techniques and regulations. We also held Sustainability Fairs to make available to our associates information on ecological products available for household consumption.

Under a clear and solid vision of conservation and recovery of forest areas in Mexico, Reforestamos México, (www.reforestamosmexico.org), our environmental non-profit organization, is working with 65 groups in



104 communities with 17 ethnic groups, from the Sierra Tarahumara in Chihuahua to the Mayan Rainforest in Yucatán, to develop the skills that promote sustainable practices, ensure the preservation of natural resources, generation of wealth and its even distribution.

We know that the support of an environmental culture in our society comes with the promotion of lifestyles compatible with the conservation of nature. Reforestamos México promotes volunteering with diverse population groups and holds reforesting events, campaigns, contests, conferences, workshops and expositions while generating educational publications and establishing landmarks in natural protected areas, among many other actions. This communicates the importance of trees and the actions needed to fight climate change, as well as to preserve and recover forests and rainforests in Mexico.

We are also part of the Commission on Private Sector Studies for Sustainable Development (CESPEDES in Spanish), that represents the World Business Council of Sustainable Development (WBCSD) in Mexico. Additionally, we collaborate with the North American Center for Environmental Information and Communication (CICEANA), and we support the 9th World Wilderness Congress (Wild-9 in Mérida, Yucatán) organized by Mexican and international environmental organizations.

WE REDUCED 4%

Of CO_2 emissions to the environment, in support of the Kyoto Protocol.

IN 2008, WE ROLLED OUT 20 ENVIRONMENTAL PROJECTS, INCLUDING NEARLY 80 GOOD PRACTICES, IN 850 INDIVIDUAL TASKS.

Reforestamos México in Numbers	
Trees planted	1'445,100
Trees produced	1'121,000
Acres preserved	96,630
Acres reforested	3,976
Acres under another type of forest management	9,988
Greenhouses supported	207
Children trained	14,894
Elementary schools involved	209
Training workshops	68
Partnerships with other civil society organizations	76
Events and expositions	25
Number of Projects of Reforestamos México	63



ASSOCIATES

HEALTH AND SAFETY

One of our priorities is to offer each one of our more than 97,000 associates (up to December 2008) at Grupo Bimbo, optimal Health and Safety conditions. With this goal in mind, our orientation programs include a talk about Health and Safety, we have a permanent campaign called "Ni uno más" to prevent traffic accidents, we conduct emergency evacuation and fire drills, workshops on work safety and in 2008 we published the manual on the new role of our Health and Safety Commissions.

Furthermore, we conducted Preventive Health workshops, Medical Campaigns promoting vaccination, vision, dental and audio tests for individuals above 40 years of age (Plus 40), and Health and Safety Fairs for all of our associates.

We constantly reinforce the importance of adopting healthy lifestyles, through courses, conferences and consultations with dieticians. Healthier menu options have been incorporated in company cafeterias and through the "Pause for Health" program we have introduced a campaign that promotes daily physical exercise in the workplace.

ASSOCIATES DEVELOPMENT

In 2008, in the area of professional development, our associates received more than 35,000 man hours in English as a Second Language Courses and 53,000 combined man hours in elementary education and instruction towards a graduate degree in Mexico and Latin America.

The Virtual University, our intranet system that contributes to Talent and Leadership Development, welcomed 6,532 new participants in 2008. At present, it offers 105 different courses, with 20,272 classes completed during the year.

Regarding Talent Management, we updated our competencies model to obtain better focus and objectivity in the identification and development of the most capable individuals.

1'563,271

Man hours of dedicated training were invested between 2007 and 2008 in courses that support additional education, English as a Second Language, and the development of skills and topics oriented to personal development.

REGARDING PERSONAL FINANCE, WE PROMOTE OUR ASSOCIATES PARTICIPATION IN SHORT AND LONG-TERM VOLUNTARY SAVINGS PROGRAMS THAT ALLOW THEM TO BUILD MORE SOLID ECONOMIC FOUNDATIONS FOR THE FUTURE.



SOCIAL SUPPORT

In the topic of personal finance, we promote voluntary savings among our associates to maintain personal finances at a healthy level. We promote work opportunities that ensure an equitable development of our associates. We also conduct work environment surveys and offer conferences about related topics. We also accommodated a greater number of associates with disabilities and adapted our facilities to increase ease of access and mobility of physically challenged individuals.

Through the Grupo Bimbo Mexico Fund for Natural Disasters, funded by contributions from our own associates in Mexico and from the Company, in 2008 we provided support with economic resources and goods to affected associates in the states of Sonora, Tabasco, Coahuila and Sinaloa in Mexico.

MORE THAN 6,000

Volunteers, company associates and their families, planted 50,000 trees in the Mazahua Area in the State of Mexico.

Associates Development Events 2008	Man Hours	Average hours per course
What is a Company (Mexico and Latin America)	199,344	8
Personal Development CUSUPE (Mexico and Latin America)	223,680	24
Family Course (Mexico)	11,512	4
Leadership Course (Mexico and Latin America)	77,328	16
English e-Learning Program (GlobalEnglish)	32,968	2 per week (52 weeks)
English On Site Courses	26,240	80
Support to Additional Education Elementary-Graduate (Mexico)	40,500	1,000 for BA's and
Support to Additional Education Elementary-Graduate (Peru and Argentina)	13,000	500 for Masters
Skills Development Courses per Competency EPISE	11,805	15 per participant
Total	636,377	



COMMUNITY

In order to promote education and social progress, we give economic support and goods to a large number of organizations.

In the education area, in 2008, projects like the construction of the Center for the Treatment of Individuals with Afasia (Language Disorders); more than 600 girls and boys from social disadvantage backgrounds and/or at risk situations were treated; as well as 14,000 children from low income families that require integral development.

We supported educational programs such as: The Calendar of Values from Fundación Televisa, Recycling for Nature of the Junior League of Mexico City, Helping Children Like Myself from UNICEF, Supporting Public Schools from Papalote Museo del Niño, Our Nation and Global World from IMPULSA and child nutrition programs and scholarships from Fundación Tarahumara. Along with the Municipal DIF Agency of Naucalpan, located in the Mexico City Metropolitan Area, we collaborated with the publication of the book "How to Protect Your Children Against Drugs".

More than 1,000 students and educators received support through institutions such as Fundación Empresarios por la Educación Básica and Instituto de Fomento de Investigación Educativa. In post-secondary education, we helped more than 5,000 university students from Escuela Bancaria y Comercial (EBC), Instituto Tecnológico Autónomo de México (ITAM) and Universidad de Monterrey (UDEM), as well as from Universidad Iberoamericana (UIA), among others. We also collaborated with Fundación Reintegra del Distrito Federal and Jalisco to prevent illegal conduct and reincorporates 1,500 individuals to society.

In partnership with Fundación CIE and various other institutions, we contributed to the sponsoring of 21 events, such as concerts, theater performances, and visits to amusement parks directed to vulnerable groups of society. In 2008, we delivered in-kind donations to more than 100 institutions.

In the United States we supported organizations like Amigos de las Americas, Hazle Harvey Pace Scholarships Fund, Young Women´s Christian Association, United Way, Junior Achievement, Institute of the Americas. In Colombia, Hogar Bimbo Bogotá, and Fundación Crem Helado, Empresarios por la Educación and Fundación Secretos para Contar; in South America to Unidad del Conocimiento and various other projects in Peru, Guatemala and Argentina.

In Mexico almost one million agricultural workers and indigenous people have benefited from our support to projects of Fundación Mexicana para el Desarrollo Rural (FUNDAR), Fundación León XIII, México Tierra de Amaranto, Servicios Educativos del Bajío, Patronato Pro Zona Mazahua and Consejo Nacional Agropecuario. With the goal of promoting more and better Mexican Companies, we collaborate with COPARMEX, USEM and Fundación ProEmpleo Productivo.

Through our partnership with FinComún, we have provided financial support to nearly 15 thousand micro entrepreneurs, and nearly 140 thousand persons with entrepreneurial spirit, to enable them to solidify and develop their own businesses.



In regards to our more than 3,000 suppliers, we seek to promote in them a responsible attitude in social and environmental areas, at the same time we provide them training in topics such as cost reduction, quality improvement and on-line operations follow-up.

In the same manner, as part of the group México-Alianza por la Competitividad, integrated by some of the most important companies in the country, we have supported the development of Small and Medium Enterprise (PYMES in Spanish) suppliers in Monterrey through a technical degree called Culture of Quality and Competitiveness.

Along with the Technological Institutes of Mexico we held a training program for more than 1,000 independent store owners and operators.

Finally, thanks to the program developed jointly with Nacional Financiera (NAFIN) in Mexico, we were able to provide our suppliers with access to financing with decreased third-party intervention costs, helped them improve their cash management skills and strengthened their bank relationships to build credit history.

EVERY SOCIAL ACTION THAT WE UNDERTAKE MOTIVATES US TO WORK MORE FOCUSED FOR THE WELL-BEING AND FOR THE BENEFIT OF PRESENT AND FUTURE GENERATIONS.

THOUSANDS OF PEOPLE RECEIVE OUR SUPPORT THROUGH CERTAIN PROJECTS CARRIED OUT BY THE SOCIAL ORGANIZATIONS WE SPONSOR IN THE FIELDS OF EDUCATION, HEALTH AND ENVIRONMENT.



BIMBO contigo

Social Responsibility Report 2008
Institutional Relations
Martha Eugenia Hernández
Celia Bringas
Lourdes Hernández
Phone: (5255) 5268 6849
Phone: (5255) 5268 6780
cbrinban@grupobimbo.com

Prolongación Paseo de la
Reforma No. 1000
Col. Peña Blanca Santa Fé
Delegación Álvaro Obregón
México, D.F. 01210
Phone: (5255) 5268 6600

www.grupobimbo.com

Design: milenio3.com.mx
Cover: DRAFTFCB México













Mixed Sources
Product group from well-managed forests, controlled sources and recycled wood or fiber
www.fsc.org Cert no. SGS-COC-2420
© 1996 Forest Stewardship Council